

It's Life,
Pure
&
Simple



It's Life, Pure & Simple

The year 2017 has been one of achievement and success for Amāna Takaful Life PLC. These results stem from a founding philosophy, which sees the Company driven by a simplicity and purity of purpose, applied across the long-term. Our fundamental ethos is to deliver the highest degree of protection to a wide cross section of customers through our comprehensive portfolio of prime life insurance products.

At the end of the day...it's Life, Pure & Simple!

OUR VISION

“Committed to providing peace of mind through World Class Takaful solutions”

OUR MISSION

“We will stand apart from the rest by engaging all stakeholders, crafting unique insurance solutions, in a spirit of mutuality and solidarity”

OUR VALUES

C Customer Centered:

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

O Open Mindedness:

Changing the Status Quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

R Rise for Quality:

A culture of continuous improvement.

We are DRIVEN to give all stakeholders a QUALITY service

D Diversity:

Our soul and spirit

We are OPEN to ALL

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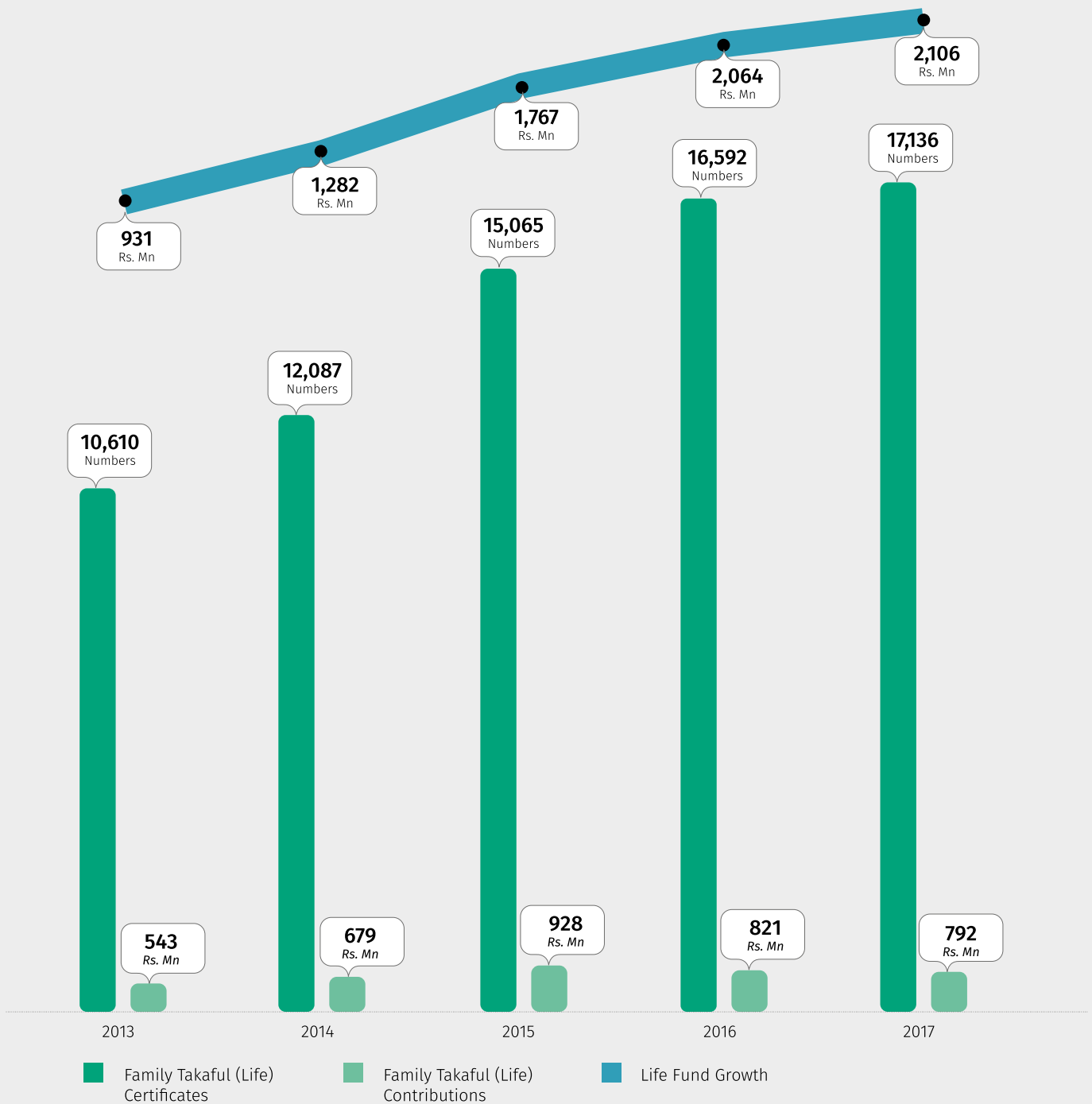
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Financial Highlights

	2017 Rs. Mn	2016 Rs. Mn	Growth (%)
Total Gross Written Premium	792	821	-3.48
Profit After Tax	50	36	39.62
Earnings per Share (Rs.)	0.10	0.07	39.62
Total Assets	2,810	2,708	3.77
Net Assets Value per Share (Rs.)	1.15	1.05	9.60
Return on Equity	0.09	0.07	
Life (Family Takaful) Fund – Family Takaful	581	560	3.71
– Unit Linked	1,525	1,504	1.40
Total Life (Family Takaful) Fund	2,106	2,064	2.02
Number of Employees	72	63	14.29
Number of Branches/Distribution Centres	31	27	14.81

Financial Highlights



Profit After Tax

39.62%

Net Asset Value per Share

9.6%

Chairman's Message

Dear Shareholder

I take great pleasure in presenting to you the Annual Report and Audited Accounts of Amāna Takaful Life PLC for 2017.

Three key factors distinguished the year in review, for your Company.

We augmented our agency distribution network, not only in numbers but also in focus and reach to align more closely with the Amāna ethos and to better achieve the desired outcomes envisaged by the Company in bringing our products and services to a diverse customer base.



/ Dato' Mohd Fadzli Yusof

**We've increased our
"agency family" by 38% this year,
a trend which we will continue
in the coming year.**

Your Company effected a highly significant "course correction" in our overall philosophy and approach to offering Life Insurance to the customer. Hitherto, we have regarded life insurance as an investment-based proposition, where a favourable return for the customer, has been the end game. We realised that it would be more on point to regard life insurance for what it truly is – a protection-based protocol, which engages in often uncomfortable conversations dealing with an instrument that assures protection and financial cover in life's more unsavoury instances such as death and disability. We fully realise that the latter is an infinitely more difficult and highly sensitive approach, but Amāna is up for the challenge; we believe it is the right way to go and we see it as a more effective and direct approach to offering life insurance in Sri Lanka.

Chairman's Message

Another area of focus was to examine our product portfolio from the viewpoint of contributing more efficaciously to overall profitability. This resulted in some tweaking and restructuring of our product offerings.

It is worthy of note here that these three key aspects as I have described, resonate fully with the desired outcomes of the strategic path we have been on since 2016 and which we will continue to traverse through 2018.

The changes to our product portfolio helped to push profits up by approximately 42%. However, our GWP was impacted mainly by the course correction in approach to life insurance marketing as described earlier.

The fundamentals of the Company remain strong. We maintain the Total Available Capital (TAC) in excess of the regulatory requirement. Our Risk-Based Capital Adequacy Ratio likewise exceeds regulatory requirement.

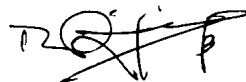
The changes to our product portfolio helped to push profits up by approximately 42%.

Along with the Board, I wish to express our deep gratitude and appreciation to the Insurance Regulatory Commission of Sri Lanka for their continuous support and guidance.

I thank my fellow Board members for their commitment, and counsel, which enabled sound adherence to Corporate Governance, Procedures and Principles of the Company. Tyeab Akbarally who served as chairman since the inception has resigned since end of September 2017. I wish to place on record our sincere gratitude for his stewardship.

Together with the Board, my appreciation to our Management and Staff, whose commitment and dedication being a foundation of the company's success.

I do believe that Amāna is forging ahead along the optimal path to deliver true value and the best of service to all our stakeholders.



Dato' Mohd Fadzli Yusof

Acting Chairman

5th April 2018

Chief Executive Officer's Review

Peace be Upon You All

The Company continued to tread the strategic path formulated in 2016, which will run through to 2019. Viewed against the desired outcomes of this plan, the Company has performed creditably during the year in review.

One area identified for improvement in line with current strategic thinking, is our agency distribution network. We examined the current model and the level of efficiencies that were being derived. The Company has taken the bold step of rationalising the agency numbers where production and productivity were not in line with the key performance measures of the Company. The Company expanded its agent numbers significantly and backed it up with enhanced training and capability development initiatives to familiarise them with the "Amāna way".

The Company too opened four new offices around the country bringing our office network to 31.



/ Gehan Rajapakse

The Company has developed a new selling platform focusing more on the protection benefits of our products which offer our customers a range of such options for the entire family.

We have also examined product profitability as a contributor to the overall corporate profitability of the Company. This was in the light of our desire to deliver optimal value to the stakeholder. This led us to effect some structural changes to our portfolio to increase the profit signature of our products.

Chief Executive Officer's Review

Our strategic direction also led us to focus on the ethos and mindset that has been guiding the business of marketing Life insurance to our chosen market segments. The Company has developed a new selling platform focusing more on the protection benefits of our products which offer our customers a range of such options for the entire family.

We have therefore made a radical shift in ethos, viewing our life portfolio as an offering that promotes the aspect of protection as a more direct and compelling *raison d'être* for its offer. This has required us to change our sales processes as well as the mindset and approach of our family of agents.

This course change has impacted some aspects of our performance, as I will now explain.

For the year 2017, we were able to record a 42% increase in profits before tax, growing from the Rs. 36 Mn of 2016 to Rs. 51 Mn. However, our GWP declined over that of the previous year, mainly due to internal structural changes and the change in ethos and focus which I have already explained. Our overall profitability however, has benefited significantly from the structural changes we made to our product portfolio as well as the expansion to our distribution network.

For the year 2017, we were able to record a 42% increase in profits, growing from the Rs. 36 Mn of 2016 to Rs. 51 Mn.

I would like to touch on the new Customer Care Centre we have established during the year. The business of Life insurance is essentially purveyed through a network of agents. Whilst overall these agents do an admirable job, it is possible for individual customers to feel remote and perhaps "disconnected" from the Company. If there is a turnover in agents this feeling is exacerbated. Amāna considers it absolutely vital to have a channel of direct customer contact always open as it definitely enhances a transparent, fair and mutually beneficial discourse. Amāna has the good fortune of possessing a skilled, competent, and passionate staff who drives the Company's aspirations along its set strategic path, quite admirably. The composition of cadre reflects the balance we require in placing significant resources in the area of product distribution.

Amāna has a vibrant programme of training and awareness propagation in reinforcing the purity and veracity of our enterprise in accordance with the Shari'ah precepts that guide us. This is enacted by members of the Muslim clergy and scholars and is spearheaded by our Shari'ah scholars.

In conclusion, I wish to thank the Chairman and the Board of Directors for their stewardship of the affairs of the Company and the guidance, support and encouragement extended to me.

I acknowledge and thank our Shari'ah Advisory Council for their invaluable input and guidance in ensuring the maintenance of the highest levels of ethics and morals across the Company.

To the family of Amāna; our dear employees, I extend heartfelt thanks as I acknowledge your invaluable contribution and toil in helping the Company realise its goals and achievements.

Also to the distribution management and the sales advisors whose untiring effort on the field must be specially mentioned.

We have a focus and strategy that can only bring success in the years ahead – a success we may happily partake of together.



Gehan Rajapakse

Chief Executive Officer

5th April 2018



Accessibility...

...begins with the design of products and services of excellent quality that optimally meet the diverse needs of customers of all circumstance, are easy to understand and use and are readily available to the customer.

Management Discussion and Analysis

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Financial Review

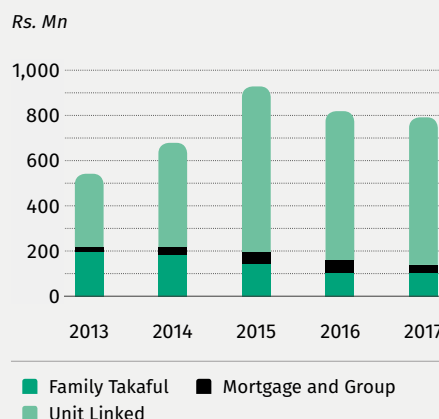
The Company completed its third year of operations as a separate entity in 2017, the Company previously operated within Amāna Takaful PLC, it segregated and operated as a separate listed entity in 2015 keeping in line with Regulatory directives. The key financial and industry details are presented below;

Gross Written Premium (GWP) and Profitability

In 2016 AT-Life made a strategic decision to move away from the marketing and selling of “investment based” products to “protection based” products. Enhanced profitability and stability being reasons for this change in strategy. At the onset of this decision for 2016 we saw GWP decline by 12% year on year, however for the year 2017 we see GWP decline by an improved rate of 3%, posting GWP of Rs. 792 Mn and an upswing in profit before tax to Rs. 51 Mn a 42% growth over the previous period. The re-positioned product portfolio along with several strategic and management measures influenced our successful results. Keeping with this improving trend we envisage GWP growth for 2018, at an enhanced level of portfolio profitability and stability.

Given below is the breakdown of the GWP over the last five years:

GWP Breakdown



AT-Life Fund Movement

The Fund grew by Rs. 41 Mn compared to Rs. 301 Mn in FY 2016. The movement of the AT-Life Fund for the last five years is given below:

AT-Life Fund Movement

	2017 Rs. Mn	2016 Rs. Mn	2015 Rs. Mn	2014 Rs. Mn	2013 Rs. Mn
Gross Written Premium	792	821	928	679	543
Net Earned Premium	765	806	908	665	538
Income from Investments and Other Income	211	174	121	137	73
Claims and Expenses	935	679	537	455	389
Fund Growth	41	301	483	347	221

The fund movement depicts the effects of repositioning our sales emphasis from “investment” related products to “protection” related products. As per our Profit and GWP figures we see a positive trend and aim to have AT-Life fund growth from 2018 onwards.

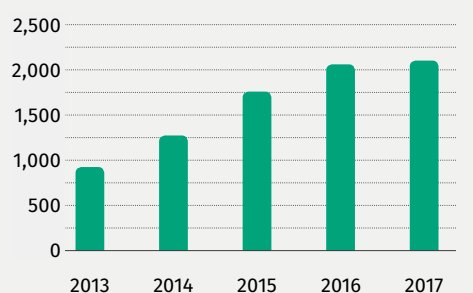
Financial Review

Family Takaful Fund

The Takaful Fund expanded to Rs. 2,106 Mn from Rs. 2,064 Mn in FY 2016, reflecting an increase of 2% YoY.

Family Takaful Fund

Rs. Mn



Total Assets

Total assets increased to Rs. 2.8 Bn for FY 2017 from Rs. 2.7 Bn in FY 2016, reflecting an YoY increase of 4%. As a result, Net Asset Value per share increased marginally to Rs. 1.15 from Rs. 1.05 in FY 2016.

Expenses

Expenses increased by 61% YoY in FY 2017 largely on account of the increase in administration/establishment expenses and staffing costs, as the company embarked on an ambitious campaign to restructure its operations and grow its sales force. There was a decline in the sales and marketing expenses during the financial year due to enhancing marketing efficiencies.

Expenses	2017 Rs. Mn	2016 Rs. Mn	Change %
Staff Expenses	114	80	42.3
Administration and Establishment Expenses	242	114	111.9
Sales and Marketing	7	19	(64.4)
Depreciation	5	5	9.9
Consultancy Fees	9	8	16.1
Travel Expenses	43	35	20.3
Total	420	261	60.6

Operations Review

Positioned for Growth

The Company's performance for 2017 saw an increase in profitability and a sales portfolio focused on "protection" based products over "investment" based products.

The discussion that follows provides information related to key aspects of our Company and the Group, our financial performance, operational aspects and an overview of our operational environment.

A Leading Takaful Insurance Provider

Derived from the Arabic root-word "kafala", Takaful means Mutual Protection and Joint Guarantee. Amāna Takaful Life PLC is the only fully-fledged Takaful company offering life insurance solutions, in accordance with established international Accounting and Auditing Organisation for Islamic Financial Institutions (AAOIFI) and Shari'ah practices in Sri Lanka.

Our comprehensive portfolio of products consists Savings and Protection, Investment Linked, Group Life and Retirement (Pension) with an array of add-ons, including comprehensive medical/health plans and critical illness covers. Our product portfolio is ever evolving to meet our customer needs, whilst our sales focus has moved from "investment" product selling to "protection" based product selling. Our products are distributed through an island-wide network which has increased to 31 branches by 2017.

Amāna Takaful Life PLC was incorporated in 2015 with the life insurance business being segregated from Amāna Takaful PLC. This was as a result of regulatory changes introduced to the insurance industry in 2011. The said regulatory changes were as per terms of Section 53 of the Regulation of Insurance Industry (Amendment) Act No. 03 of 2011, where all composite insurance companies were required to segregate their two business lines into two separate legal entities as life insurance and general insurance.

The Life business commenced from year 1999 as part of the composite Amāna Takaful PLC. Shared services such as Human Resources, Finance, Marketing, IT, Legal and Compliance are provided by the Parent Company, Amāna Takaful PLC as permitted by the Insurance Regulatory Commission of Sri Lanka.

Our Group Structure

Amāna Takaful Life PLC is a subsidiary of Amāna Takaful PLC. Amāna Takaful PLC is principally held by Amāna Holdings Ltd., which has a 42.02% stake.

Long-Term Insurance Industry of Sri Lanka

Based on the latest data of the Central Bank of Sri Lanka (CBSL) – Sri Lanka's long-term insurance industry has recorded a notable performance in 2016 recording a GWP income of Rs. 64 Bn. This growth is largely attributable to the effective marketing efforts and the successful "Life Insurance Awareness Month" held during September 2016.

The total assets of the Long-Term insurance industry increased to Rs. 345 Bn as at 31st December 2016 reflecting an increase of 10.5% YoY. The 2.89 million policies in force for 2016 is the highest recorded in last five years, marginally up from 2.80 million policies of 2015.

The capital adequacy ratio for Long-term insurance sector was 296% at end of June 2016 and the investments in Government Securities by the long-term insurance sector increased by 31.3%.

Sri Lanka's life insurance penetration in terms of GDP is the lowest in the region. Sri Lanka is expected to concentrate on the more profitable life segment in the future. In the medium and long-term, many insurers are expected to consolidate by way of mergers and acquisitions due to Sri Lanka's overcrowded insurance sector.

Given below are selected indicators of the insurance sector based on the latest available data of the CBSL.

Year ended 31st December	2016	2015	2014	2013	2012	2011
Long-term insurance (Rs. Mn)	63,495	53,575	44,596	41,676	37,477	35,162
Growth rate in total premium (%)	11	16.12	5.44	10.22	10.48	17.62
Gross domestic product (Rs. Bn)*	11,839	11,183	10,448	9,592	8,732	7,129
GDP growth rate (%)*	4	4.8	4.9	3.4	9.1	8.4
Penetration (%) (Total industry premium as a percentage of GDP)	1	1.09	1.01	1.04	1.04	1.14
Penetration (%) (Premium of long-term insurance business as a percentage of GDP)	1	0.48	0.43	0.43	0.43	0.49
Insurance density (Total premium income/ population) (Rs.)	6,743	5,838	5,074	4,857	4,440	3,934
Population '000 (Mid year)*	21,203	20,996	20,771	20,579	20,424	20,869

Source: Central Bank of Sri Lanka and Department of Census and Statistics.

* Reinsurance premium income represents the compulsory cession of reinsurance premium of General Insurance Business ceded to NITF.

(a) Reinstated Audited figures

(b) Reinstated Audited figures (Except NITF)

(c) Provisional figure

As Sri Lanka moves forward to be a middle income country, the national vision is to establish Sri Lanka's insurance industry to be a pillar of the financial sector.

The Penetration of Long-Term Insurance

Based on the latest data of the Central Bank of Sri Lanka, the total insurance premium as a percentage of GDP for 2016 was 1.21 as compared to 1.12 for 2015 a growth of 8% year on year (YOY), the long-term insurance premium as a percentage of GDP for 2016 was 0.54 as compared to 0.49 for 2015 a growth of 10% YoY. This is comparatively low compared to other economies in the Asian region.

Creating Shared Stakeholder Benefits for Our Customers

The company's drive in sales channel expansion, product portfolio re-adjustment along with a raft of other management initiatives, focusing firmly on our customer's needs, enabled us to increase our customer base and profitability.

Operations Review

Increasing Our Customer Touch Points

Customers access to our products and services through our 31 branches island wide, our website and mobile app.

Our Branch Network

We expanded our network from 27 to 31 branches in 2017. New branches such as in Pilimalawala, Mannar, Ambalantota and Nugegoda have enhanced our presence and reach.

Our Online Channel

The Company sees the need for further digitalisation of the sales process for enhanced customer convenience. Features such as online payments through our corporate website and Mobile App, Online Policy Quotations issuance are some of the features implemented, a raft of further features and initiatives are in the pipe-line as well.

Our Sales Team

Our sales agency force continues to be our main channel in reaching our customer base. A dedicated team of individual sales personal, agents, agency supervisors form our sales force. Over the year we invested significantly in structured recruitment clinics and activations, substantially increasing our sales force throughout the island. A revised value driven incentive structure and career progression routes were implemented in tandem with comprehensive training and development programmes. The Company also conducted several out-reach programs on Takaful insurance and product awareness. The combination of these activities enhances our abilities and leaves the Company well positioned to gain significant growth in the outer years.

Our Product Portfolio

Our product portfolio is continuously evolving in terms of features and coverage, keeping with our customer's ever changing needs. Our products may be segregated into three main categories; Protection and Savings, Wealth Management and Corporate and Micro.

Keeping our customers firmly in mind, over the year AT-life substantially enhanced its medical product range's benefits and coverage. Further seeing the need for the enhanced critical illness protection given the Sri Lankan context, we substantially expanded the benefits and coverage of our Critical Illness protection products as well.

Features such as SMS based customer interactions we implemented in 2017 keeping in line with our "pure and simple" ethos.

Our product portfolio is given below:

Protection and Savings Products

- *Adyapana*
A long-term protection and savings plan that helps plan and provide for children's higher education. The plan also includes a comprehensive health insurance cover for the parent and child as well.
- *Surakshitha*
An affordably-packaged, tailor-made life cover to help families reap the benefits of insurance. With a host of add-ons that include hospitalisation and critical illness coverage, enabling everyone to face life's contingencies with confidence.
- *Platinum*
Designed to provide the best protection and benefits that money can buy. Apart from a coverage for natural/accidental death, and critical illness coverage, it also includes a comprehensive hospitalisation cover for the policyholder and his/her family with an overseas treatment option. This is another first in the life insurance policies in Sri Lanka.

Wealth Management Products

- **Prosper**
Sri Lanka's first Shari'ah compliant unit linked life insurance plan; Amāna Takaful Prosper enables investment for the future and at the same time provide protection to the family if the unthinkable happens. The solution is based on investments in secure deposits and equity with the choice of four different funds. With a variable Takaful cover, (Prosper) can be tailor-made to maximise investments or provide high value protection. There are plans to select from – peaceful retirement, children's education, weddings, and obtaining the dream home.
- **Deergayou**
This is the first ever Shari'ah compliant retirement plan catering to the ever growing demand for a pension plan providing financial security in the golden years of the customers. A retirement fund is built over a period of time, to facilitate an enjoyable retirement. The ensuing pension can be taken at the age of 55 as a lump sum or regular monthly pension.

Corporate and Micro Products

- **Micro Takaful**
The micro Takaful offering, takes the benefits of insurance to deserving markets promoting inclusiveness and mutual assistance. Covers include natural and accidental death, critical illness, loss of income, funeral and medical expenses. The covers are uniquely priced and marketed through the Company's strategic partners.
- **Group Life**
A solution offered to corporate and SMEs to secure the health and well-being of employees enabling them to work with peace of mind with assurance of being taken care of in the event of a calamity. With 24/7 coverage, it provides protection and safety beyond the mandatory insurance of the employer.
- **Safeguard**
Protects loved ones from the burden of debt, in the event of an unexpected loss of the breadwinner. This offering can be tailor-made to safeguard higher education payments, in the event of the death of a parent as well.

Rewarding Our Policyholders

We reward our policyholders in the following ways:

- **Surplus Refunds**
Once the certificate matures, the participant receives the total Participants Fund value and the surplus in the Tabarru Fund (Risk Fund).
- **Participant's Investment Fund (PIF) with profit**
Subsequent to the actuarial valuation, the profit generated each year is credited to the Participant's Investment Fund (PIF).
- **Scholarships**
Under the *Adhyapana* children's plan we extend scholarships to policyholders' children who successfully complete the following examinations:
 - Grade Five Scholarship Examination – Rs. 15,000/-
 - G.C.E. Ordinary Level Examination – Rs. 50,000/- (for students who receive 9 'A' passes)
 - Entry to a University – Rs. 100,000/-.

Our Business Partners

Our Reinsurers

We have multinational reinsurers with global leadership status such as Hannover Re Takaful B.S.C.(c) (HRT), Kingdom of Bahrain since 2012 and SCOR Re of Singapore, since 2014. These companies are life reinsurance with investment grade financial ratings.

Our Actuaries

Actuarial Partners Consulting Sdn Bhd, Malaysia, considered the premier service provider in Malaysia, has been our actuarial service provider since our founding years. We obtain a full range of services from them, including Takaful pricing, product design and valuation.

Our Society and Environment

As a Takaful company, the well-being of society and environment is a priority to us, as such we actively participate in several Corporate Social Responsibility (CSR) activities of our Parent Company, Amāna Takaful, under the banner, "Amāna Takaful Cares". Health Care, Education, rural economic development are areas we are focused and committed to.

Human Resources

Our People

In today's fast paced competitive business landscape, particularly in that of Insurance, companies undercut on price, match or even surpass product offerings, but a key factor that gives an organisation the edge over others, is its people. Never before has the need for competent and committed people been felt so strongly.

At AT-Life, we value our people and recognise that they are the engine that drives the Company towards true growth and success. We consistently aim to provide our People with the requisite tools and skills, to be successful both within the organisation and the society at large. Our work environment at Head office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees to perform. It's an environment that advocates and embraces diversity, fresh thinking and shared values. A mutually inclusive culture, one of tolerance – be it age, gender, ethnicity, nationality, and religion and or thinking styles is what we strive to promote and nurture.

Today AT-Life has 75 full-time employees and over 450 agents based at the centre and island wide branch network. Our openness to gender, ethnic diversity and fostering a work place in which employees strive to delight our stakeholders, has resulted in AT-Life being a sought-after employer.

For two consecutive years (2016 – 2017) Amāna Takaful was adjudged one of Sri Lanka's "Best Employer Brands" at the South Asian Partnership Summit and Business Awards."

HR Strategy – "Creating an Enabling Winning Culture"

2017 witnessed the completion of the Company's three year Strategic Plan (2015-2017), one in which as a team, our people made satisfactory progress in all aspects of the business.

In developing a sustainable business, we have ensured that the Human Resources Strategy is aligned with the Organisation's corporate strategy. Thus, it becomes critically important to attract, retain and nurture the right skills for the company.



Values and Communication

C

Customer Centered:

Interaction with Customers.

O

Open Mindedness:

Changing the Status Quo,
seeking new ideas.

R

Rise for Quality:

A culture of continuous improvement.

D

Diversity:

Our soul and spirit.

The tone of an organisation's culture is set by its core values and how effectively it is embedded within the system.

AT-Life's Corporate Values is coined as CORD, reflecting an uninterrupted, seamless connection and is what AT-Life stands for in terms of authenticity, relevance and customer centricity. It is considered the moral glue that keeps us bound together and the principles that we adhere to and never compromise on.

Our Corporate Mission Meeting (CMM), held twice a month is designed to reinforce the core values in our staff.

Customer Centred – We listen to our customers and go the extra mile to serve them.

Open Mindedness – We foster a culture where ideas and opinions are shared freely.

Rise for Quality – We are driven to give all stakeholders a quality service.

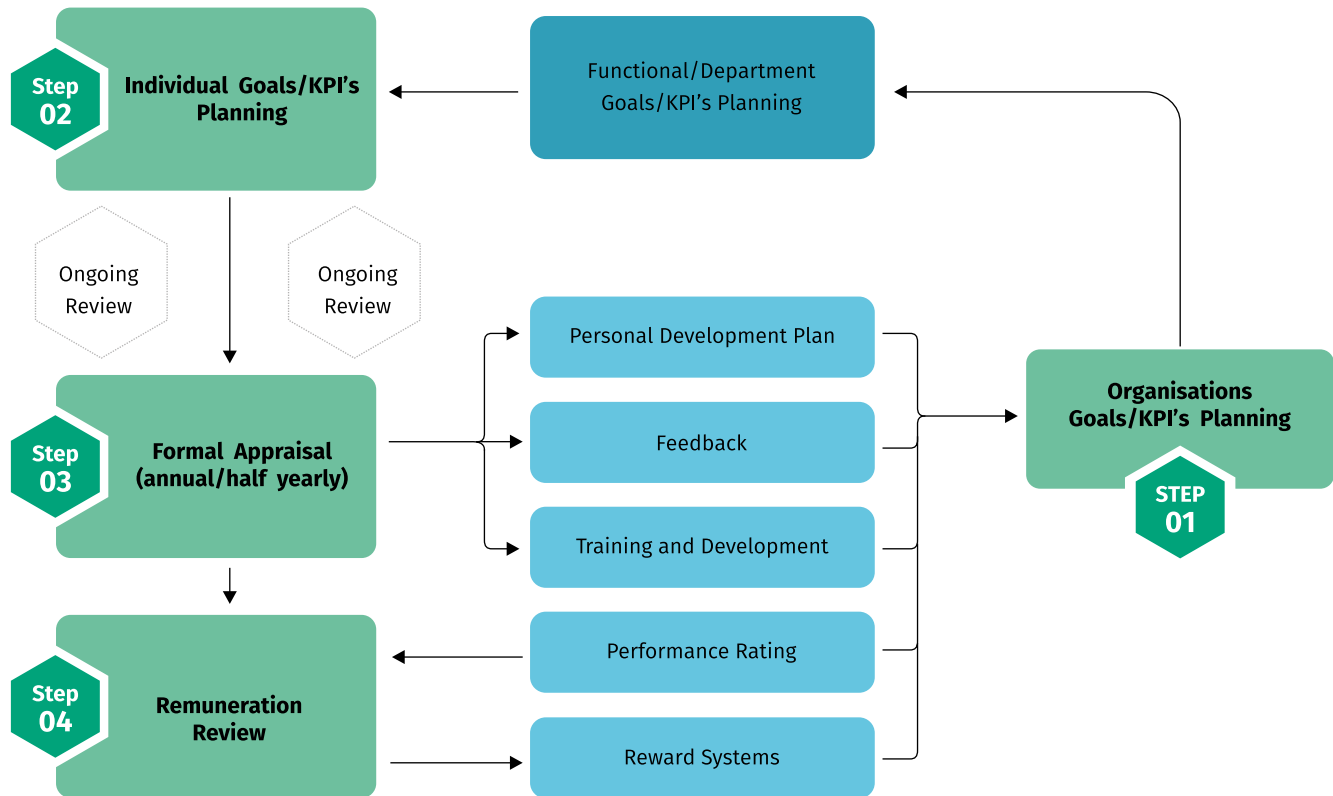
Diversity – We are open to all.

In promoting a culture that is mutually inclusive, the Internal Communications Unit (ICU) continues to be a robust interface in communicating relevant information to staff such as important events, monthly team briefs at the regions, thus sharing Company performance and staff achievements in a timely manner. The ICU serves as an interactive tool with increased levels of participation by employees. Additionally, as part of our open culture, employees can raise their concerns to any superior or CEO.

Human Resources

Performance Management

The launch of the revamped PARFORM (Performance Appraisal Review Form) has seen the effective implementation of Cascading Goals with clear KPI deliverables and line of sight, taking good shape within the Organisation. The Company will seek to align its remuneration and benefits scales in line with that of market anchors, in being competitive and to attract and retain quality talent.



Multi-Skilling

In further enhancing staff productivity, flexibility and satisfaction, multi-skilling is promoted and encouraged amongst staff. Examples of this include, functions of Strategic Planning and Corporate Risk being re-allocated under Finance and Compliance – in addition to the treasury role, the Board Secretary function absorbed under HR, The creation of the Universal Front Office too now serves as a one-stop-shop – catering to all customer requirements. The promotion of Multi-skilling has undoubtedly been a key factor in the steady reduction of our Full-time equivalents count over the years.

Engagement and Work-Life Integration

It is recognised that the boundaries between an individual's professional and personal life has become blurry. We endeavour to promote a culture that fosters work-life integration, focusing on incorporating the different areas of one's life to create a whole picture. In doing that we believe we can truly create a Results Oriented Workplace (ROW).

Human Resources

Takaful Master Minds (TMM)

TMM is essentially an engaging quiz competition crafted with the aim of promoting a LEARNING CULTURE within the Organisation. The programme continues to be a General knowledge and IQ-based Quiz competition held annually, creating an atmosphere for healthy competition. Branches and Head Office staff participate enthusiastically, with the IT Department emerging as champions in 2017.

**Kidz Colour Splash 2017**

For the second consecutive year, the kiddies' art competition – "Colour Splash" was organised for the children of our employees. This annual competition promotes the artistic talents of employee's kids, tapping into their creativity. This truly brought about a sense of belonging and strengthened the binding with the Organisation. The competition was conducted under three groups covering all branches and HO staff. Competitions were held at Excel World, Colombo, Kandy City Centre and Batticaloa. Winners at the Art competition were feted at our Annual Awards Day.



Human Resources

AT-Life Achievers

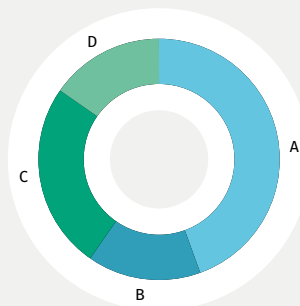
Achievers essentially recognises the special accomplishments of staff and their children in academic spheres, sports and other outstanding activities. Staff are encouraged to pursue professional and academic qualifications and actively participate in sporting and extracurricular activities. This programme serves as a platform in recognising our talent and further encouraging them to reach greater heights.

Employee Analysis

Staff Distribution by Province	2017 Number	%	2016 Number	%
Central	14	19	11	17
Eastern	10	14	10	16
North Central	1	1.4	1	1.6
North Western	6	8	5	8
Northern	2	3	1	2
Southern	5	7	3	5
Sabaragamuwa	1	1.4	1	1.6
Western	33	46	31	49
Total	72	100	63	100

Staff Service Analysis

Service Analysis of Staff – 2017



	%
A – 2 years and below	45
B – 3 to 5 years	15
C – 6 to 10 years	25
D – Above 10 years	15

Service Analysis of Staff – 2017

	Senior Management	Middle Management	Executives	Non-Executives	2017 Total
2 years and below	1	22	9	0	32
3 to 5 years	0	9	2	0	11
6 to 10 years	1	8	9	0	18
Above 10 years	1	8	2	0	11
Grand Total	3	47	22	0	72

Human Resources

	2017	2016
Staff Strength		
Senior Management	3	3
Middle Management	47	30
Executives	22	29
Non-Executives	0	1
Grand Total	72	63
Labour Turnover		
No. of Staff Resigned/Terminated	14	20
Average No. of Staff during the Period	67	65
Labour Turnover (%)	20.90	30.77

Rewards and Recognition

AT-Life recognises the significance of its people knowing, that they are valued and appreciated in the Organisation. With appropriate reward and recognition, we strive to bring out the best in our employees.

Annual Awards Day – 2017

The annual Awards Day is a much-awaited Company-wide event to celebrate the achievements and teamwork of our talented employees.



Human Resources

Key Awards given to staff, include:

- i. CEO's Award – recognising and appreciating the contribution of operations staff who go beyond the normal call of duty.
- ii. Ten Years Service Award – Staff completing 10 years of service in the Company are recognised for their dedicated service to Takaful.
- iii. Champion of Champions – Recognises the overall best performing Sales person.

Bonus

A performance-based bonus scheme is in place to recognise the contribution of operations staff towards achieving corporate objectives. The scheme takes into account the overall company performance and individual contribution to business results.

Women's Day

AT-Life celebrated International Women's Day (IWD) on the 8th of March in a unique fashion, touching the lives of women in "Mallika Home for Elderly Women". Around 100 elderly women are looked after and sheltered there in a serene and caring atmosphere. IWD is viewed as a time for reflecting on the past struggles, accomplishments and more importantly the untapped potential and opportunities in Diversity – a key value in the Company.



Learning and Development

AT-Life continued to invest significantly in developing talent during the year. Nurturing and building a high performing team through structured learning and development pays dividends to the Company by way of increased employee productivity and ability to add value. In 2017, emphasis was given to developing Leadership, Soft Skills and Technical Competence thereby facilitating the successful delivery of strategic priorities and business goals.

Training and career development are important aspects of a sustainable and progressive organisation. Through effective training and development, our staff are equipped and empowered to serve our customers at a high level, whilst they progress in their careers. AT-Life believes in promoting a culture that assists employees in pursuing professional education in insurance and other job related courses.

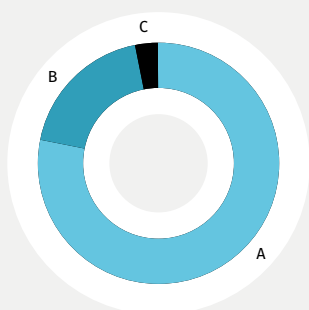
120 in-house programmes and 30 external sessions, including five overseas programmes were carried out in 2017. Unique training programmes were crafted and sourced externally based on the findings of the Training Needs Analysis, stemming from the annual Performance Appraisal Review process. It is designed to build the capabilities of employees, across all categories.

Human Resources

Professional trainers with a proven track record were engaged to upskill, coach and enhance the knowledge of our Sales force on Selling and Best Practices. This included those from industry and outside. An internal Training Faculty was constituted to facilitate and impart Technical knowledge and skills.

Given below is the training summary for 2017:

Programmes for Learning and Development

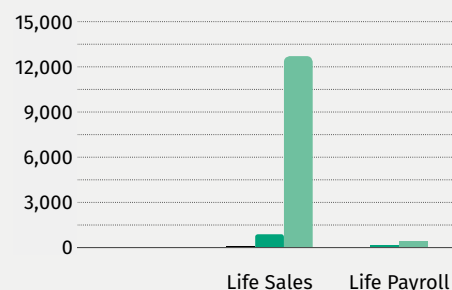


	%
A - In-house	78
B - External	19
C - Overseas	3

Family Takaful

Family Takaful

Hours



■ Per Capita LH ■ Training Hours
■ Learning Hours

Key Areas Focused

Training Summary – 2017

	Distribution %	Attendance %
Leadership Development	5	90
Soft Skills Development	35	94
Technical Competency	60	88

Human Resources

Programmes Conducted In 2017

Family Takaful – 2017

No.	Programme
1	Conceptual Selling Skills
2	Designing Solutions
3	Low Producer Coaching
4	Professional Selling Skills
5	Self-Motivation
6	Underwriting Practices
7	Recruiting Right People
8	Leadership Skills
9	OBT-Winning Team
10	Customer Care Skills

Overseas Training

AT-Life continued to provide overseas training to staff members as an essential element of the L & D Process. In 2017, over 10 employees attended overseas training programs. This also served as a platform for learning best practice and networking.

Business English

This programme was conducted for employees to enhance their English speaking, writing, and presentation skills. 20-classroom sessions were conducted over a period of six months, using professional trainers. Participants were evaluated and structured feedback was provided for further improvements.

Executive Development Programme

This programme is designed to provide executives with the knowledge and tools to enhance their managerial skills. The training prepares them to face corporate challenges and also encourages them to adopt to and embrace change.

Outbound Training

Outbound training was conducted to enhance organisational performance through experiential learning. It consisted of different kinds of activities that catered to the improvement and building of personality, leadership and shared values.



Human Resources**Technical and Sales Training**

In addition to soft skills training, AT-Life conducted multiple initiatives to enhance the technical and sales skills of our sales staff. During the year, all the Branch Managers and Regional Managers were provided comprehensive training on Leadership and Customer Care Skills. Relevant training manuals were introduced to support the sales team with planning and implementation, such as Professional Selling Skills, Time Management Skills, Negotiation Skills, and Recruitment and Selection Skills, etc.



Product Portfolio



Surakshitha

Life, is uncertain and we need to be prepared to face any misfortune. Surakshitha is a Life cover affordably packaged to enable the policy holder and his family to face misfortunes and unavoidable circumstances. Surakshitha provides a plan that is tailor-made to suit the individual needs with a host of benefits including hospitalisation and critical illness cover. The money is judiciously invested to provide larger returns as well.



Prosper

This is Sri Lanka's first Shari'ah compliant unit linked life insurance plan, Amāna Takaful Prosper enables to invest for the future and at the same time provide protection to the family if the unthinkable happens. The solution is based on investments in secure deposits and equity and with the choice of four different funds. There are plans for a peaceful retirement, children's education, weddings and getting the dream home. Life is for living; and we help you make the most of it.



Adhyapana

Adhyapana is a long-term protection and saving plan that helps the policyholders to finance their children's education and future with a health insurance cover. It helps to make every parent's wish of giving their children the best education and future possible a reality.



Safeguard

We all wish to leave behind an inheritance for our loved ones. However, the unexpected loss of the breadwinner might leave the dependants with the burden of debt. Amāna Takaful Safeguard protects the loved ones from the burden of left over debt and enables them to enjoy the life built for them by the policyholder. Amāna Takaful Safeguard enables one to plan ahead.



DeergaYou

This is the first ever Shari'ah compliant retirement plan that caters to the ever growing demand for a pension plan that secures the financial security of customers in their golden years. It paves the way for one to save regularly between the ages of 18 to 55 and thereafter enjoy an increasing monthly pension payment.



Platinum

Platinum has been designed to suit those of us who want to provide the best money can buy for the ones dearest to us. Not only does it meet one's protection needs in terms of death, critical illness and accident, but it also includes a comprehensive hospitalisation cover for the policyholder and the family with an overseas treatment option. A unique feature is the second opinion, which enables the insured to obtain a second medical opinion locally or overseas, in case of a critical illness, which is a first time feature in Sri Lanka.



Platinum

An untimely death or accident or disability can take away a valuable employee and his/her contribution to a company, not to mention the devastation caused to the employee's family. Amāna Takaful now offers the opportunity to secure the health and well-being of the employees, so that they can work with peace of mind, knowing that they will be taken care of in the event of a tragedy.

Corporate Social Responsibility

“Adhyapana” policyholders rewarded for their exceptional performance

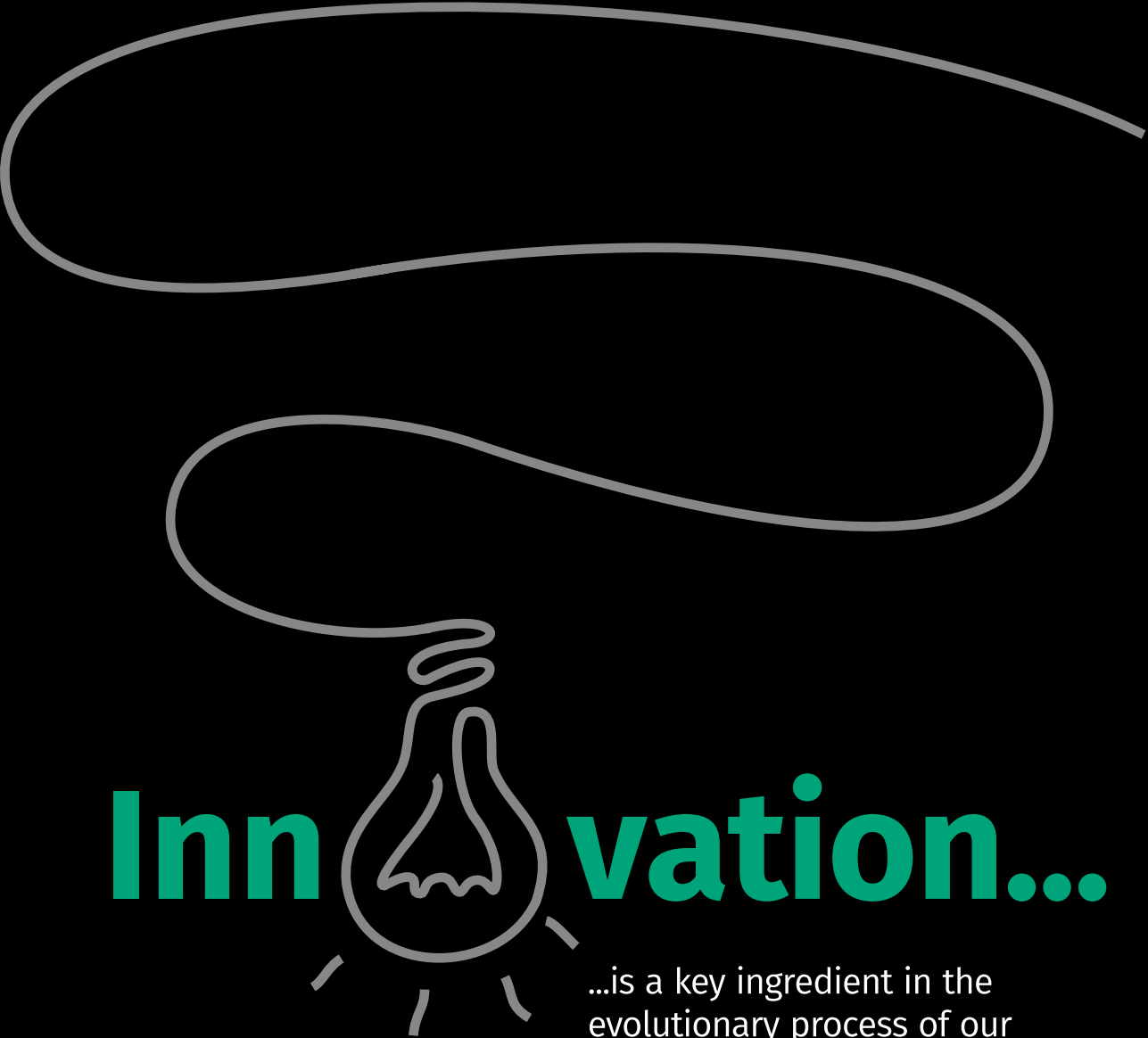
A solid education is valued above all, in the present society. Education indeed defines an individual and opens up many opportunities for success. It is this distinction that is sought by the schools and the parents alike for their children.

At the end of the day, the hard work and dedication of the parents and schools pay-off when the ardently committed student performs academically well at their exams. To emerge as a high achiever a well-defined focus and goal orientation alongside untiring efforts remains the success formula for many.

Fathima Rifna of Hambanthota is one such student who bagged 9 A's at the GCE O/L Examination in the year 2016, ranked number 1 in the Tamil Medium in the Hambanthota District. She hails from an ordinary family and is the second child in her family. Her father, who is a businessman, believes that this exceptional performance is the result of the dedication and hard work put in by Rifna as well as the backing received from members of the family. Amāna Takaful Life PLC recognised and rewarded Fathima Rifna with a scholarship, at an event held at the Zahira College, Hambanthota recently.

Furthermore, 25 “Adhyapana” Policyholders who performed exceptionally well at recently concluded 2017 Grade 5 scholarship examination were also rewarded.





Innovation...

...is a key ingredient in the evolutionary process of our products and services, which keeps us “ahead of the curve” keeping our portfolio relevant...always.

Stewardship

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Board of Directors



Tyeab Akbarally

Chairman – Non-Executive (AT-Life and ATPLC)
(Resigned w.e.f. 28th September 2017)

Tyeab Akbarally was the Chairman of the Company. He has been on the Board since its inception. He is also a Director of Akbar Brothers (Pvt) Ltd., the largest tea exporter in the country. Tyeab's business interests extend to many sectors of the economy, including Tea Trade, Pharmaceutical Trade, Hydropower and Commodity Trading. He is also on the Boards of Amāna Bank PLC and several companies in the Akbar Brothers Group.



Dato' Mohd Fadzli Yusof

Acting Chairman – Independent
Non-Executive Director
(AT-Life and ATPLC)

Dato' Mohd Fadzli Yusof was appointed to the Board since its inception. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn Bhd, a subsidiary of Hei Tech Padu Berhad.

He has also been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. On the academic front he serves as the Fellow, University Islam Malaysia. He is also a member of the Board of Trustees Sultan Mizan Royal Foundation an NGO institution.



Mohamed Haniffa Mohamed Rafiq

Independent Non-Executive Director
(AT-Life and ATPLC)

M.H.M. Rafiq has been on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in the Company.

Board of Directors



Dr. Ifthikarudeen Ahamed Ismail

Independent Non-Executive Director
(AT-Life and ATPLC)

Dr. Ifthikarudeen Ahamed Ismail has been on the Board since its inception. He also serves as Chairman of ATL Investment Holdings Ltd. (Formerly known as Amāna Holdings Ltd.), and as a Director of Asia Siyaka Commodities PLC.

He holds a BSc (Hons) Degree from the University of Ceylon and a PhD from the University of St. Andrews UK. He has attended the Advanced Management Programme at the Harvard Business School and has participated in a variety of senior functional and general management training courses, mainly in Europe. He is a Fellow of the Institute of Management of Sri Lanka.

Whilst he was Vice-Chairman of Unilever, he served in various capacities in state institutions; among them as a Director of the National Apprentice Board, a member of the Advisory Committee of the Ministry of Foreign Affairs, the Research Planning Council of the CISIR, the Tertiary Vocational Education Commission and the Council of the Open University.

He has served as Principal of Zahira College, Colombo, CEO and Director of APIIT Lanka and as Chairman of the Board of the Sri Lanka Business Development Centre, Council Member of the Employers' Federation, Chairman of the Board of Governors of the Symphony Orchestra, Chairman of the Colombo District Scouts Association and Patron of the Photographic Society of Sri Lanka.

Board of Directors



Radhakrishnan Gopinath

Independent Non-Executive Director
(AT-Life and ATPLC)

Radhakrishnan Gopinath has been on the Board since its inception. He was formerly the Chief Executive Officer and the Managing Director of Life Insurance Corporation Lanka (LIC Lanka), having previously held several top positions at LIC India. Gopinath was also a Director at Al Nabooda Insurance Brokers LLC Dubai. He has also served as a Vice-President of the Insurance Association of Sri Lanka and was an Executive Committee member of the Ceylon Chamber of Commerce in the Insurance Subcommittee.

Gopinath is a member of Chartered Insurance Institute (CII), UK and also a member of The Personal Finance Society and Society of Mortgage Professionals (PFS) London UK. He is also a member of Indian Management Association and also is the Alumnus of Madras Christian College, India. He holds a Bachelor of Science (Mathematics) and a Postgraduate Diploma in Business Management.

His passion in training, coaching and mentoring along with his extensive experience in insurance led him to establish GOPAST Centre for Learning (Pvt) Ltd., a company dedicated towards building human potential, where he holds the position of Chief Executive Officer/Managing Director.



Mohamed Fazal Ghaffoor

Non-Executive Director (AT-Life)

Ghaffoor has been on the Board since its inception. He is the CEO of Amāna Takaful PLC. During his career, he had various roles in marketing, financial services and logistics covering a span of 35 years. He was Director – Marketing of Ceylon Tobacco Company and having progressed through a number of roles within the organisation he later joined British American Tobacco's Horn & East African Cluster and thereafter a Board member at British American Tobacco's operations in Pakistan and Iran. Ghaffoor was also the General Manager of DHL and Whittals Insurance, Sri Lanka and also served as Head of Marketing at Bank of Ceylon from 2010 to 2011.

Board of Directors

**Ammar Shafik Kassim**

Non-Executive Director (AT-Life)

Ammar was appointed to the Board on 7th March 2016. He heads Business Development at FITS Aviation, Sri Lanka's largest private airline.

He has managed a programme of aircraft acquisition fleet standardisation across three global hubs for the airline. He holds a BSc in Economics and an MSc in Management Information Systems from New York University.

**Mohamed Rizwan Mohamed Nayeem**

Independent Non-Executive Director
(AT-Life and ATPLC)
(Appointed w.e.f. 2nd January 2018)

Rizwan Nayeem was appointed to the Board on 2nd January 2018. He is currently an Executive Director at the Nortonbridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).

Management Team



N. Shahnaz Deen

Specified Officer



Shahul Hameed Asif

Head of National Distribution



Nimalika Sooriyaarachchi

Assistant General Manager – Family Underwriting



M.R. Shakir Mohamed

Senior Regional Manager – Western



M. Sathik Niyas

Senior Regional Manager – East and North



M.K. Mohamed Althaf

Manager – Business Development



R. Priyanthi Newmen

Manager – Life Underwriting



Sabeeh Feisal

Manager – Family Underwriting



M.Y. Fahrul Nisver

Manager – Family Underwriting

Management Team

**W. Sawan Rangana Rodrigo**

Manager – Agency Development/
Sales Administration

**M.N.M. Irshad**

Regional Manager – Western

**M. Hazari Farouk**

Regional Manager – Central

**B. Nanthykumar**

Regional Manager – North

**O.G.W. Ruwan Kumara**

Regional Manager – South

**D.S.P. Prassanna Ruwan Kumara**

Area Manager – Central

Corporate Governance

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring our growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful Life PLC strongly believes that it is vital for the Company to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a Management process in which a corporate, business entity or Company is directed, managed and controlled. It is a concept which is now increasingly gaining prominence in the business world. In any company where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful Life PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amāna Takaful Life PLC has at its foundation a capital structure consisting an issued share capital of Rs. 500,000,000/-. The Company has 1,005 shareholders, while the majority shares are held by institutions. Details of the main shareholders are given on page 123.

Board of Directors and Board Committees

There are Seven Directors on the Board of Amāna Takaful Life PLC, whom hold office in non-executive capacities. The Board of Directors has been drawn from a cross-section of industries. Their expertise and experience in various fields as well as insights have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 55.

Corporate Governance Framework

Amāna Takaful Life PLC operates within a clear governance framework, which is outlined in the diagram below and set out in this Report:



Corporate Governance

Board Size and Composition

The Board currently comprises seven Directors. The size and composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 32 to 35.

The Board is collectively responsible for the long-term success of the Group. Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of Management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of

remuneration; satisfying themselves on the integrity of financial information and succession planning for the Executive Directors.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 46 to 52. Following presentation by Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained which covers items that are significant to the Group as a whole due to their strategic, financial or reputational implications.

A summary of these matters includes:

Board Decisions



Strategic

- Approval and monitoring strategic and annual business plans
- Review of business performance
- Approving significant acquisitions, mergers or disposals



Succession Planning and Reward

- Ensuring adequate succession plans are in place
- Board and Board Committee appointments and removals
- Appointment or removal of the Company Secretary
- Appointment or removal of the Auditors and determination of the audit fee
- Major changes in the employee share or pension schemes



Reporting

- Approval of the Annual Reports and Accounts to be put before the Company
- Approval of Financial Statements
- Matters for business reviews



Finance, Governance and Controls

- Internal controls and risk management systems
- Approval of policies, major projects and contracts
- Oversight of Directors' Conflicts of interest
- Rules and procedures for dealing in the Company's shares
- Corporate Governance and compliance with the SEC's Code of Conduct



Regulatory

- Approval of the Group's interim dividend and recommendation of final dividend
- Compliance with the SEC Listing Rules, Disclosure and Transparency Rules and the Company's Law on Takeovers and Mergers

Corporate Governance

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies including Long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective Management Team including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" Principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities

Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up-to-date with training and development;
- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and Develop and maintain effective communication with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company;
- Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the Executive Management of the Company;
- Meet the Group's budget and strategic plans; and Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its committees and between Senior Management and Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

Corporate Governance

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, three Directors retire annually and being eligible offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various Committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful Life PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following committees of the Board have been formed with the objective of improving governance: viz–

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Executive Committee

Each Committee has a defined terms of reference approved by the Board, outlining the respective committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these committees are expected to attend all meetings.

The Audit and Compliance Committee, Risk Management Committee, Investment Committee, Remuneration Committee and Related Party Transactions Review Committee of the Parent, Amāna Takaful PLC, function as the committees of the Company respectively.

i. The Audit and Compliance Committee

The Audit and Compliance Committee comprises three Independent Non-Executive Directors and one Non-Executive Director of the Board. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned where rectification actions taken of any weakness described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 57 and 58.

ii. The Risk Management Committee

The Risk Management Committee of the Board comprises four Non-Executive Directors of which three are Independent Directors. This Committee is chaired by Dato' Mohd Fadzli Yusof who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and re-align the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detailed report on the Risk Management Committee functions and its activities during the year 2017 is provided on pages 46 to 52.

iii. The Investment Committee

The Investment Committee comprises Tyeab Akbarally, M.H.M. Rafiq, Dr. A.A.M. Haroon, M.R.M. Nayeem and M.H.S. Kassim. The Committee ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meeting on a monthly basis.

iv. The Remuneration Committee

The Remuneration Committee is composed of Four Non-Executive Directors of the Board of which three are Independent Directors. Details of remuneration paid to Directors are set out in Note 25 to the Financial Statements on page 104.

The Report of the Remuneration Committee is provided on page 60.

v. Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors. This Committee is chaired by A.S.M. Muzzammil, who is an Independent Non-Executive Director of the Company. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 59.

Corporate Governance

vi. Executive Committee

The Executive Committee or EXCOM is composed of four members of the Board and is chaired by the Chairman of the Company until 28th September 2017. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the Group. The members of the Committee are as follows:

- i. Tyeab Akbarally – Chairman
(Resigned w.e.f. 28th September 2017)
- ii. M.H.M. Rafiq
- iii. Dr. Ifthikarudeen A. Ismail
- iv. Mohamed Fazal Ghaffoor
- v. M.R.M. Nayeem

Ethical Standards

Amāna Takaful Life PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for Insurance Companies in Sri Lanka which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer – related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the weekly mission meetings.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC) which includes Heads of Departments. Each of them, who head Strategic Business Units drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC. The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with “Shari’ah” Requirements

Amāna Takaful Life PLC takes the utmost care in adhering to “Shari’ah” principles. A Shari’ah Unit has been set up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari’ah, in particular that relates with the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 61.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., and notify and guide the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors discloses policy decisions and operations affecting shareholders through its quarterly and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings ensuring shareholder participation and interaction.

Corporate Governance

The management holds weekly mission meetings at which employees are briefed of the policies, goals and values of Amāna Takaful Group and their views and suggestions are sought and evaluated.

Amāna Takaful Life PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency requirements

The Solvency Margin (Risk-Based Capital) pertaining to Long-term Insurance (Family Takaful) Business has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

Corporate governance disclosures under CSE Rules in relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Non-Executive Directors 1. Tyeab Akbarally – Chairman (Resigned w.e.f. 28th September 2017) 2. Dato' Mohd Fadzli Yusof – Acting Chairman 3. M.H.M. Rafiq 4. R. Gopinath 5. Dr. Ifthikarudeen Ahamed Ismail 6. Mohamed Fazal Ghaffoor 7. Ammar Shafik Kassim 8. M.R.M. Nayeem (Appointed w.e.f. 2nd January 2018)	All members of the Board serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7.10.1. All the Non-Executive Directors have submitted the annual declaration of their independence or non-independence to the Board of Directors.
	Independent Directors 1. Dato' Mohd Fadzli Yusof – Acting Chairman 2. M.H.M. Rafiq 3. R. Gopinath 4. Dr. Ifthikarudeen Ahamed Ismail 5. M.R.M. Nayeem (Appointed w.e.f. 2nd January 2018)	The Company has complied with the CSE Listing Rules 7.10.2.
Remuneration Committee	1. Dato' Mohd Fadzli Yusof – Chairman 2. M.H.M. Rafiq 3. Dr. A.A.M. Haroon 4. A.S.M. Muzzammil	Remuneration Committee of the Parent Company, Amāna Takaful PLC, functions as the Remuneration Committee of the Company in terms of CSE Listing Rules 7.10.5.
Audit and Compliance Committee	1. Dato' Mohd Fadzli Yusof – Chairman 2. M.H.M. Rafiq 3. A.S.M. Muzzammil 4. M.H.S. Kassim	Audit and Compliance Committee of the Parent Company, Amāna Takaful PLC, functions as the Audit and Compliance Committee of the Company in terms of CSE Listing Rules 7.10.6.
Related Party Transactions Review Committee	1. A.S.M. Muzzammil – Chairman 2. M.H.M. Rafiq 3. M.R.M. Nayeem	Related Party Transactions Review Committee of the Parent Company, Amāna Takaful PLC, functions as the Related Party Transactions Review Committee of the Company in terms of CSE Listing Rules 9.2.3.

Corporate Governance

Directors' attendance at the meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
1. Tyeab Akbarally – Chairman (Resigned w.e.f. 28th September 2017)	3	2						
2. Dato' Mohd Fadzli Yusof – Acting Chairman	4	4	4	4	2	2		
3. M.H.M. Rafiq	4	4	4	4	2	2	4	4
4. Radhakrishnan Gopinath	4	3						
5. Dr. Ifthikarudeen Ahamed Ismail	4	4					2	2
6. Mohamed Fazal Ghaffoor	4	4						
7. Ammar Shafik Kassim	4	3						
8. M.R.M. Nayeem (Appointed w.e.f. 2nd January 2018)							2	2
9. M. Ehsan Zaheed (Resigned w.e.f. 17th April 2017)							1	1
10. A.S.M. Muzzammil			4	3	2	1	2	2
11. Dr. A.A.M. Haroon					2	0		
12. M.H.S. Kassim			3	2				

Enterprise Risk Management

As the pioneer Takaful company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

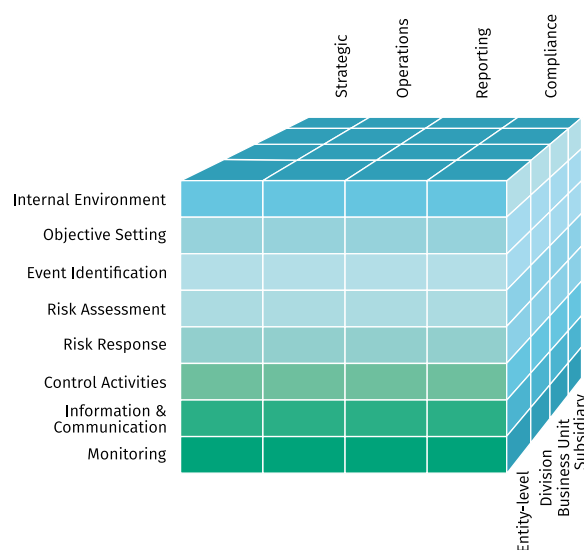
Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General Segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2017

What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as 'the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks' (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in US defines ERM:

"...a process, effected by an entity's Board of Directors, Management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of Enterprise Risk Management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for Management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise Risk Management enables Management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Enterprise Risk Management

Value is maximised when Management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise Risk Management Encompasses –

- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise Risk Management provides the rigor to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses, reducing surprises and associated costs or losses.
- Identifying and managing multiple and cross-enterprise risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and Enterprise Risk Management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, Management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows Management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in Enterprise Risk Management help Management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise Risk Management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, Enterprise Risk Management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk Management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, Enterprise Risk Management is not strictly a serial process, where one component affects only the next. It is a multidirectional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the Organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below. The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Enterprise Risk Management

1. Insurance risk

Being an insurance company, risks related to the insurance business i.e., Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risks	Control
Product Design and Pricing – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Actuarial, Marketing, Strategy and further, actuarial support is obtained from the appointed Actuary.

a. Retakaful risk

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka. The services of professional Retakaful brokers are also obtained in reinsurance placements.

2. Market risks

Market risks are wider risks that any company is exposed to in terms of Demand and Supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates, and commodity market conditions especially Gold etc., expose enormous speculative risks to the Company.

3. Strategic and reputational risk

Achievement of overall Business Goals is the top most priority for any Company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the Organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

Enterprise Risk Management

4. Operational risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risks	Controls
Sudden disasters/ calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – SOP's do not capture important controls	The Risk Committee reviews the SOP's periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOP's will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of Key Projects	The General Management Committee (GMC) meets monthly and reviews projects under implementation.
Utilities	Electricity – A back-up Generator is fully active.

5. Compliance risk

The Key Compliance Risks and the control measures are listed below:

Risk	Controls
Unable to comply with the applicable regulatory requirements	The first item of the agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All heads of departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This Checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

Enterprise Risk Management

ATI – Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the consequence parameter ranges from Negligible to Severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above Category and these items have been graded based on the above parameters of Likelihood and Consequences.

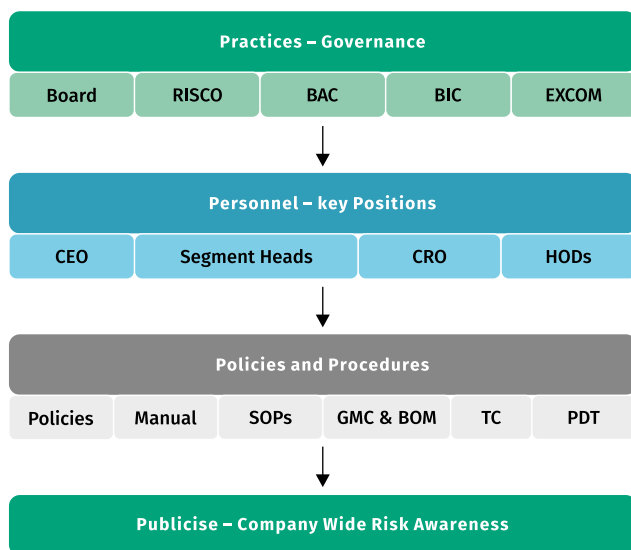
The Company adopts the following strategies in managing the risks as per the likelihood and impact grading. Please refer the Impact and likelihood along with the Risk Management Grid:

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D).	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D).	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C).	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A).	Very High	Avoid	Do not participate in the activity.

Enterprise Risk Management

ATI Enterprise Risk Management Framework

In the ERM Framework of the Company has been structured into a 4-stage cascade viz: Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	–	The Board of Directors
RISCO	–	Board Risk Committee
BAC	–	Board Audit Committee
BIC	–	Board Investment Committee
EXCOM	–	Executive Committee
CEO	–	Chief Executive Officer
CRO	–	Chief Risk Officer
HODs	–	Heads of Departments
SOPs	–	Standard Operating Procedures
GMC	–	General Management Committee
BOM	–	Business Operations Management
TC	–	Technical Committee
PDT	–	Product Development Team

The ERM framework operates on a bottom-up approach in terms of its lines of defence.

1. First line of defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

2. Second line of defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has re-structured the Management Review Process through the General Management Committee (GMC) and a Business Operations Management Team (BOM), widening the participation of Key Management Personnel with specific roles in each of the groups.

3. Third line of defence

Key Personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

4. Final line of defence

Governance practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are Subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Enterprise Risk Management

Risk Management Process

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. Corrective actions will be taken as and when significant deviations are observed in the relevant areas:

Risk Area	Key Risk Indicator
Insurance Risk	- Product Profitability - RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	- Daily Target Achievements - Variance Analysis - Market Positioning - Client Satisfaction Index
Market Risk	- Interest Rate Movement - Equity Market Movement - Economic Indicators - Changes in Tax Regulations - Changes in Government Policies
Operational Risk	- Staff Turnover Ratio - Staff Satisfaction Index - Internal/External Audit Findings - Deviations from ISO Standards on Safety Measures - Current and Liquidity Ratios
Compliance Risk	- Queries Raised by Regulator/Ombudsman - Pending Legal Matters - Unresolved Audit Queries - Items in the Management Letter - Investment Portfolio Mix

Key Areas Reviewed by the Board Risk Committee during 2017

- Review of the Risk Registers and monitored the Key Risk Indicators covering all aspects of the business.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Family Takaful Fund and available surplus.
- Review of key risks pertaining to Family Takaful Business.
- Review of Investments.

The Board Risk Committee of the Parent, Amāna Takaful PLC functions as the Risk Committee of the Company. The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
1. Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	4 out of 4
2. M.H.M Rafiq Independent Non-Executive Director	4 out of 4
3. Dr. A.A.M. Haroon Non-Executive Director	3 out of 4
4. A.S.M. Muzzammil Independent Non-Executive Director	3 out of 4

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Compliance and Corporate Risk also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meeting when required.

Annual Report of the Board of Directors on the affairs of the company

The Directors are pleased to submit their report together with the audited accounts of the Company, for the year ended 31st December 2017, to be presented at the 2nd Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 6 and 7 describes the Company's affairs and mentions important events that occurred during the year, and up to the date of this Report. The Management Discussion and Analysis on pages 12 to 17 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is Family Takaful (Long-term Insurance) business.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and comply with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of Insurance Regulatory Commission of Sri Lanka are given on pages 68 to 119 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 67 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 75 to 86.

Financial Results and Appropriations

The profit after taxation of the Company for the year was Rs. 49.8 Mn (2016 – Rs. 35.7 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund has increased to Rs. 2,105.8 Mn from Rs. 2,064.1 Mn in 2016.

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Company amounted to Rs. 8.7 Mn (2016 – Rs. 0.7 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 5 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 6 to the Financial Statements.

Reserves

Accumulated profit as at 31st December 2017 for the Company amounted to Rs. 75.3 Mn (2016 – Rs. 26.2 Mn). The breakup and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2017 was Rs. 500,000,000.00 represented by 500,000,000 ordinary shares. The details of the stated capital are given in Note 17 to the Financial Statements on page 101.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December 2017 other than those reported in Note 29 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the Reporting date that require adjustments or disclosure in the Financial Statements.

Annual Report of the Board of Directors on the affairs of the company

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 65 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 38 to 45 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interests Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 28 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding below:

Board Committees

Audit and Compliance Committee

The Audit and Compliance Committee of the Parent Company, Amāna Takaful PLC functions as the Audit and Compliance Committee of the Company. Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. A.S.M. Muzzammil
4. M.H.S. Kassim

The Report of the Audit Committee on pages 57 and 58 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

The Remuneration Committee of the Parent Company, Amāna Takaful PLC functions as the Remuneration Committee of the Company. Following are the names of the Directors comprising the Remuneration Committee of the Board:

1. Dato' Mohd Fadzli Yusof – Chairman
2. M.H.M. Rafiq
3. Dr. A.A.M. Haroon
4. A.S.M. Muzzammil

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 60. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 25 to the Financial Statements.

Related Party Transaction Review Committee

The Related Party Transactions Review Committee of the Parent Company, Amāna Takaful PLC functions as the Related Party Transactions Review Committee of the Company. Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board:

1. A.S.M. Muzzammil – Chairman
2. M.H.M. Rafiq
3. M.R.M. Nayeem

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 123 and 124.

The earnings per share, dividends per share, net assets per share are given on page 124.

Annual Report of the Board of Directors on the affairs of the company

Directors

The Directors of the Company during the year are as follows:

	Date of Appointment	Date of Resignation
Tyeab Akbarally	26th June 2014	28th September 2017
Dato' Mohd Fadzli Yusof	26th June 2014	–
M.H.M. Rafiq	26th June 2014	–
Dr. I.A. Ismail	26th June 2014	–
R. Gopinath	26th June 2014	–
M. Fazal Ghaffoor	26th June 2014	–
A.S. Kassim	7th March 2016	–
M.R.M. Nayeem	2nd January 2018	–

A brief profile of the Directors are given on pages 32 to 35 of this Annual Report.

In terms of Section 24 (2) of the Articles of Association of the Company, M.R.M. Nayeem has been appointed as a Director after the last Annual General Meeting being eligible has offered himself for re-election.

In terms of Section 24 (7) of the Articles of Association of the Company, R. Gopinath and M.F. Ghaffoor retire by rotation and being eligible has offered themselves for re-election.

In terms of Section 211 of the Companies Act No. 07 of 2007, the following Directors who are above 70 years of age retire by rotation and being eligible have offered themselves for re-election and the following resolutions to be passed accordingly, if thought fit:

I. Re-election of Dr. Ifthikarudeen Ahamed Ismail

IT IS HEREBY RESOLVED: To re-elect Dr. Ifthikarudeen Ahamed Ismail who is 80 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

II. Re-election of M.H.M Rafiq

IT IS HEREBY RESOLVED: To re-elect M.H.M Rafiq who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said M.H.M Rafiq.

III. Re-election of Dato' Mohd Fadzli Yusof

IT IS HEREBY RESOLVED: To re-elect Dato' Mohd Fadzli Yusof who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31st December 2017 were as follows:

	Number of Ordinary Shares	
	As at 31st December 2017	As at 31st December 2016
Dato' Mohd Fadzli Yusof	–	–
M.H.M. Rafiq	–	–
Dr. I.A. Ismail	–	–
R. Gopinath	–	–
M. Fazal Ghaffoor	–	–
A.S. Kassim	–	–
M.R.M Nayeem	–	–

Annual Report of the Board of Directors on the affairs of the company

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on page 44.

Related Party Transactions

There are no related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company other than those reported in Note 28 to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – “Related Party Disclosures” in Note 28 to the Financial Statements.

In terms of section 9.3.2 (d) of the listing rules the board confirms that the company has complied with all requirements pertaining to related party transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statement.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 25 on page 104 of this Annual Report. As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

The Annual General Meeting will be held on 8th May 2018 at 10.15 a.m. at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Baudhaloka Mawatha, Colombo 7. The Notice of the Annual General Meeting appears on page 130 of this Annual Report.

For and on behalf of the Board,



Dato' Mohd Fadzli Yusof

Acting Chairman



M. Fazal Ghaffoor

Director



Managers & Secretaries (Pvt) Ltd.

Secretaries

Amāna Takaful Life PLC

5th April 2018
Colombo

Report of the Board Audit and Compliance Committee

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) four members who are Non-Executive Directors, of whom three are Independent. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls, and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit and Compliance Committee of Amāna Takaful PLC, the Parent Company functions as the Board Audit and Compliance Committee in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Members	No. of Meetings Attended
1. Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	4 out of 4
2. M.H.M Rafiq – Independent Non-Executive Director	4 out of 4
3. Aboo Sally Mohamed Muzzammil – Independent Non-Executive Director	3 out of 4
4. M.H. Sattar Kassim – Non-Executive Director (Member from 15th February 2017)	2 out of 3

The Chief Executive Officer, Chief Executive Officer of the Parent Company, as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standards and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's Risk Management Process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
5. Review the effectiveness of internal controls and risk management processes.
6. Ensure compliance with Regulatory Affairs and Corporate Governance.

Report of the Board Audit and Compliance Committee

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

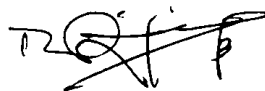
The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and External Auditors are met. With the transparent and appropriate relationship established with the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Dato' Mohd Fadzli Yusof

Chairman – Board Audit and Compliance Committee

5th April 2018
Colombo

Report of the Related Party Transactions Review Committee

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 9 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

The Related Party Transaction Review Committee of Amāna Takaful PLC, the Parent Company of Amāna Takaful Life PLC functions as the Related Party Transaction Review Committee in terms of Section 9.2.3 of the Listing Rules of the Colombo Stock Exchange.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three independent Non-Executive Directors.

Meetings of the Committee

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Members	No. of Meetings Attended
1. A.S.M. Muzzammil – Chairman Independent Non-Executive Director (appointed w.e.f. 19th May 2017)	2 out of 2
2. M.H.M Rafiq – Independent Non-Executive Director	4 out of 4
3. M.R.M. Nayeem – Independent Non-Executive Director (appointed w.e.f. 19th May 2017)	2 out of 2
4. Dr. I. A. Ismail – Independent Non-Executive Director (retired due to reconstitution of the Committee w.e.f. 19th May 2017)	2 out of 2
5. M. Ehsan Zaheed – Non-Executive Director (resigned w.e.f. 17th April 2017)	1 out of 1

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Head of Compliance, A.H.M. Dilshad served as the Secretary to the Committee.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2017. All related party recurrent transactions entered into during the year were within the normal scope of day-to-day operations of the Company. Details of recurrent and non-recurrent related party transactions entered in to during the year are given in Note 28 to the Financial Statements on pages 106 and 107 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules of the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Head of Compliance is required to report the related party transactions entered into by the Company during the period under consideration for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



A.S.M. Muzzammil

Chairman – Related Party Transactions Review Committee

5th April 2018
Colombo

Report of the Board Remuneration Committee

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

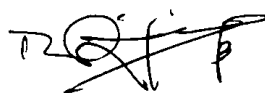
Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amāna Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of four (4) Non-Executive Directors, of whom three (3) are independent. The Committee met twice during the year under review.

Members	Meeting Attendance
1. Dato' Mohd Fadzli Yusof – Chairman Independent Non-Executive Director	2 out of 2
2. M.H.M. Rafiq – Independent Non-Executive Director	2 out of 2
3. Dr. A.A.M. Haroon – Non-Executive Director	0 out of 2
4. A.S.M. Muzzammil Independent Non-Executive Director	1 out of 2
5. Farhan Jabir – Secretary	2 out of 2



Dato' Mohd Fadzli Yusof

Chairman – Remuneration Committee

5th April 2018
Colombo

Shari'ah Audit Report to the shareholders of Amāna Takaful Life PLC



Shari'ah Audit Report to the Shareholders of Amāna Takaful Life PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amāna Takaful Life (PLC) (the "Company") for the year ending 31st December 2017. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with the Shari'ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance, compensations and accountings.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2017, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All non-permissible income received should be utilised in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M.I.M Rizwe

Chairman – Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary – Shari'ah Advisory Council



Affordability...

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Statement of Directors' Responsibilities

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Company. The Directors confirm that the Financial Statements for the year 2017 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting, principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRSs/LKASs) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

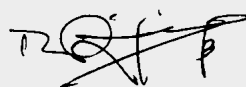
The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Dato' Mohd Fadzli Yusof

Acting Chairman

5th April 2018
Colombo

Certificate of the Actuary – Family Takaful (Life)

To the Shareholders of Amāna Takaful Life PLC.

ACTUARIAL VALUATION OF THE LONG-TERM INSURANCE BUSINESS AS AT 31st DECEMBER 2017

We have carried out an actuarial valuation of the Long-term Insurance Business as at 31st December 2017. We hereby certify that, in our opinion –

1. Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long-term Insurance Fund;
2. Adequate and proper reserves have been provided as at 31st December 2017, for insurance-related risk liabilities in respect of the Long-term Insurance Fund, taking into account all current and contingent liabilities as at that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.
Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia

Tel.: 603 2161 0433
Fax: 603 2161 3595

Kuala Lumpur

28th March 2018

Independent Auditors' Report



**Building a better
working world**

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SPF/HLKC/TW

Independent Auditors' Report to the Shareholders of Amāna Takaful Life PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Amāna Takaful Life PLC, ("the Company"), which comprise the statement of financial position as at 31st December 2017, and the statement of comprehensive income, statement of changes in equity, and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal controls as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the Financial Statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the Financial Statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the Financial Statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the Financial Statements give a true and fair view of the financial position of the Company as at 31st December 2017, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on other legal and regulatory requirements

As required by Section 163(2) of the Companies Act No. 07 of 2007, we state the following:

- (a) The basis of opinion and Scope and Limitations of the audit are as stated above.
- (b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company, and
 - the Financial Statements of the Company, comply with the requirements of Section 151 of the Companies Act.

As required by Section 47(2) of the Regulation of Insurance Industry Act No. 43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

5th April 2018
Colombo

Partners: W R H Fernando FCA FCMA M P D Cooray FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA

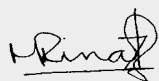
Principal T P M Ruberu FCA FCCA

A member firm of Ernst & Young Global Limited

Statement of Financial Position

As at 31st December	Notes	2017 Rs.	2016 Rs.
Assets			
Intangible Assets	4	22,250,369	23,548,554
Property, Plant and Equipment	5	21,164,995	17,466,682
Financial Investments	6	1,040,576,008	1,018,398,153
Retakaful (Reinsurance) Receivables	7	250,000	2,250,872
Contribution (Premium) Receivables	8	33,059,196	27,199,034
Other Assets	9	28,816,883	38,754,561
Financial Investments – Unit Linked	10	1,526,678,553	1,473,331,682
Cash and Bank Balances	11	129,461,474	34,456,620
Cash and Bank Balances – Unit Linked	11	7,370,003	72,192,842
Total Assets		2,809,627,481	2,707,599,000
Liabilities			
Insurance Contract Liabilities – Family Takaful Fund	12	580,710,123	559,913,844
Insurance Contract Liabilities – Unit Linked	12	1,525,135,501	1,504,144,873
Employee Benefits	13	6,013,000	4,316,884
Other Liabilities – Unit Linked	14	51,844,853	50,315,575
Other Liabilities	15	67,001,272	59,189,744
Finance Lease Liability	16	5,134,842	6,200,918
Total Liabilities		2,235,839,591	2,184,081,838
Shareholders' Equity			
Equity Attributable to Equity Holders of the Parent			
Stated Capital	17	500,000,000	500,000,000
Other Reserves	18	(1,544,774)	(2,668,935)
Revenue Reserves		75,332,664	26,186,097
Total Equity		573,787,890	523,517,162
Total Equity and Liabilities		2,809,627,481	2,707,599,000

We certify that Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



Gehan Rajapakse
Chief Executive Officer

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf of the Board by:



M.H.M. Rafiq
Director



M. Fazal Ghaffoor
Director

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

5th April 2018
Colombo

Statement of Comprehensive Income

Year Ended 31st December	Notes	2017 Rs.	2016 Rs.
Gross Written Contribution (Premium)	19	792,173,604	820,726,086
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(26,823,377)	(18,204,267)
Net Written Contribution (Premium)		765,350,227	802,521,819
Net Change in Reserve for Unearned Contribution (Premium)		(314,564)	3,534,978
Net Earned Contribution (Premium)		765,035,663	806,056,797
Other Revenue			
Income from Investments	20	253,100,870	204,424,159
Other Income	21	15,966,882	18,364,941
Total Revenue		1,034,103,415	1,028,845,897
Expenses			
Takaful (Insurance) Claims and Benefits (Net)	22	(423,475,426)	(320,181,336)
Acquisition Cost (Net of Reinsurance Commission)		(97,197,627)	(108,237,418)
Change in Family Takaful Contract Liability		(40,535,552)	(301,048,132)
Other Operating and Administration Expenses	23	(419,842,953)	(261,367,540)
Amortisations	4	(1,298,185)	(1,138,797)
Total Expenses		(982,349,743)	(991,973,223)
Profit from Operations	25	51,753,672	36,872,674
Finance Cost	24	(1,162,129)	(1,181,605)
Profit Before Taxation		50,591,542	35,691,069
Income Tax	26	(759,965)	-
Profit for the Year		49,831,573	35,691,069
Other Comprehensive Income			
Other Comprehensive Income to be Reclassified to Profit or Loss in Subsequent Periods			
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to the Income Statement		-	87,434
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/from Life policy Holders Reserve		1,124,161	(2,777,644)
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods			
Actuarial Loss on Defined Benefit Plans	13.1	(685,011)	(1,637,240)
Other Comprehensive Income		439,150	(4,327,450)
Total Comprehensive Income for the Year		50,270,723	31,363,619
Earnings Per Share	27	0.10	0.07

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

Statement of Changes in Equity

Year Ended 31st December 2017	Stated Capital	Other Reserves			Accumulated Profit	Total
		Available-for-Sale Reserve	Life Policyholders' Reserve Fund	Revaluation Reserve		
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January 2016	500,000,000	–	(98,867)	2,169,475	13,522,946	515,593,554
Profit for the Year	–	–	–	–	35,691,069	35,691,069
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to the Income Statement	–	–	87,434	–	–	87,434
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund	–	–	(2,777,644)	–	–	(2,777,644)
Actuarial Loss on Defined Benefit Plans	–	–	–	–	(1,637,240)	(1,637,240)
Total Comprehensive Income	–	–	(2,690,210)	–	34,053,829	31,363,619
Transfer of Revaluation Surplus to Retained Earnings, at the Disposal	–	–	–	(2,049,333)	2,049,333	–
Expenses on Initial Public Offer	–	–	–	–	(13,440,011)	(13,440,011)
Dividend Paid	–	–	–	–	(10,000,000)	(10,000,000)
Balance as at 31st December 2016	500,000,000	–	(2,789,077)	120,142	26,186,097	523,517,162
Profit for the Period	–	–	–	–	49,831,579	49,831,579
Other Comprehensive Income						
Net Change in Fair Value of Available-for-Sale Financial Assets transferred to Life Policy Holders Reserve Fund	–	–	1,124,161	–	–	1,124,161
Actuarial Loss on Defined Benefit Plans	–	–	–	–	(685,011)	(685,011)
Total Comprehensive Income	–	–	1,124,161	–	49,146,568	50,270,729
Balance as at 31st December 2017	500,000,000	–	(1,664,916)	120,142	75,332,664	573,787,890

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

Statement of Cash Flows

Year Ended 31st December	Notes	2017 Rs.	2016 Rs.
Operating Activities			
Contribution (Premium) Received from Customers		789,220,790	843,895,322
Retakaful (Reinsurance) Premium Paid		(25,396,375)	(17,940,168)
Claims, Benefits and Expenses Paid		(435,422,102)	(318,473,782)
Retakaful (Reinsurance) Receipts in Respect of Claims		7,441,321	–
Cash Paid to and on Behalf of Employees		(112,840,864)	(82,134,917)
Profits Received from Investments		181,594,767	87,542,592
Finance Cost Paid		(1,162,129)	(1,181,605)
Dividends Received		9,826,985	4,925,312
Other Operating Cash Payments		(287,446,927)	(160,416,801)
Net Cashflow from Operating Activities (Note A)		125,815,464	356,215,953
Investing Activities			
Net Purchase of Investment Securities		105,850,572	(430,850,916)
Purchase of Intangible Assets	4	–	(6,278,958)
Purchase of Property, Plant and Equipment		(8,675,939)	(3,062,771)
Proceeds from Disposal of Property, Plant and Equipment		–	4,125,000
Net Cashflow Used in Investing Activities		97,174,633	(436,067,645)
Financing Activities			
Dividend Paid		–	(10,000,000)
Expenses on Initial Public Offer		–	(13,440,011)
Repayment of Finance Lease Liability		(1,162,129)	(1,276,320)
Net Cashflow from Financing Activities		(1,162,129)	(24,716,331)
Net Increase/(Decrease) in Cash and Cash Equivalents		221,827,970	(104,568,023)
Cash and Cash Equivalents at the Beginning of the Year		297,097,764	401,665,787
Cash and Cash Equivalents at the End of the Year	11.1	518,925,733	297,097,764

Statement of Cash Flows

Year Ended 31st December	Notes	2017 Rs.	2016 Rs.
Note A			
Reconciliation of Operating Profit with Cash Flows from Operations			
Profit from Operations		51,753,671	36,872,674
Depreciation		4,977,626	4,526,508
Amortisation	4	1,298,185	1,138,797
Provision for Gratuity	13.1	1,337,147	1,152,682
Gain on Disposal of Plant and Equipment		-	(645,930)
Decrease/(Increase) in Debtors and Other Assets		17,746,090	27,658,384
Increase in Family Takaful (Long-Term Insurance) Fund		40,535,552	301,048,132
(Decrease)/Increase in Unearned Contribution (Premium)		314,564	(3,534,978)
(Decrease)/Increase in Other Creditors		9,340,804	(7,787,618)
Cash Flow from Operating Activities		127,303,639	360,428,651
Finance Cost Paid		(1,162,130)	(1,181,605)
Gratuity Paid		(326,042)	(3,031,093)
Net Cash Flows from Operating Activities		125,815,464	356,215,953

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

Segmental Analysis – Statement of Financial Position

As at 31st December	Family Takaful Fund Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2017 Total Rs.	2016 Total Rs.
Assets					
Intangible Assets	–	22,250,369	–	22,250,369	23,548,554
Property, Plant and Equipment	–	21,164,995	–	21,164,995	17,466,682
Financial Investments	646,906,154	393,669,854	–	1,040,576,008	1,018,398,153
Retakaful (Reinsurance) Receivables	250,000	–	–	250,000	2,250,872
Contribution (Premium) Receivables	33,059,196	–	–	33,059,196	27,199,034
Other Assets	8,073,008	20,743,876	–	28,816,882	38,754,561
Financial Assets – Unit Linked	1,526,678,553	–	–	1,526,678,553	1,473,331,682
Inter Fund Receivable	58,292,174	–	(58,292,174)	–	–
Management Fee Receivable	–	153,241,806	(153,241,806)	–	–
Cash and Bank Balances	83,522,111	45,939,364	–	129,461,474	34,456,620
Cash and Bank Balances – Unit Linked	7,370,003	–	–	7,370,003	72,192,842
Total Assets	2,364,151,199	657,010,264	(211,533,980)	2,809,627,481	2,707,599,000
Liabilities					
Insurance Contract Liabilities – Family Takaful Fund	580,710,123	–	–	580,710,123	559,913,844
Insurance Contract Liabilities – Unit Linked	1,525,135,501	–	–	1,525,135,501	1,504,144,873
Employee Benefits	–	6,013,000	–	6,013,000	4,316,884
Other Liabilities – Unit Linked	51,844,853	–	–	51,844,853	50,315,575
Finance Lease Liability	–	5,134,842	–	5,134,842	6,200,918
Other Liabilities	54,883,831	12,117,441	–	67,001,273	59,189,744
Inter Fund Payable	–	58,292,174	(58,292,174)	–	–
Management Fee Payable	153,241,806	–	(153,241,806)	–	–
Total Liabilities	2,365,816,115	81,557,457	(211,533,980)	2,235,839,591	2,184,081,838
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	–	500,000,000	–	500,000,000	500,000,000
Other Reserves	(1,664,917)	120,142	–	(1,544,774)	(2,668,935)
Revenue Reserves	–	75,332,664	–	75,332,664	26,186,097
Total Equity	(1,664,917)	575,452,806	–	573,787,890	523,517,162
Total Equity and Liabilities	2,364,151,199	657,010,264	(211,533,980)	2,803,627,481	2,707,599,000

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

Segmental Analysis – Statement of Comprehensive Income

Year Ended 31st December	Family Takaful Rs.	Shareholders' Fund Rs.	Adjustments Rs.	2017 Total Rs.	2016 Total Rs.
Gross Written Contribution (Premium)	792,173,604	-	-	792,173,604	820,726,086
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(26,823,377)	-	-	(26,823,377)	(18,204,267)
Net Written Contribution (Premium)	765,350,227	-	-	765,350,227	802,521,819
Add: Unearned Takaful Contribution (Premium) at the Beginning of the Year	4,811,475	-	-	4,811,475	8,346,453
Less: Unearned Takaful Contribution (Premium) at the End of the Year	(5,126,039)	-	-	(5,126,039)	(4,811,475)
Net Earned Contribution (Premium)	765,035,663	-	-	765,035,663	806,056,797
Other Income					
Management Fee from Contribution (Premium) – Others	-	280,681,235	(280,681,235)	-	-
Management Fee from Investment Income	-	31,643,241	(31,643,241)	-	-
Income from Investments	208,526,849	44,574,021	-	253,100,870	204,424,159
Other Operating Income	2,332,798	25,912,831	(12,278,747)	15,966,882	18,364,941
Total Revenue	945,895,310	382,811,327	(324,603,222)	1,034,103,415	1,028,845,897
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits – Net	(423,475,426)	-	-	(423,475,426)	(320,181,336)
Acquisition Cost (Net of Reinsurance Commission)	(2,519,364)	(94,678,263)	-	(97,197,627)	(108,237,418)
Increase in Family Takaful (Long-term Insurance) Fund	(40,535,552)	-	-	(40,535,552)	(301,048,132)
Management Fee from Contribution (Premium) – Comprising Acquisition Cost	(312,324,475)	-	312,324,475	-	-
Profit/(Loss) from Operations	197,040,493	288,133,063	(12,278,747)	472,894,809	299,379,011
Less: Indirect Expenses					
Other Operating and Administration Expenses	(197,040,493)	(230,103,582)	12,278,747	(414,865,328)	(256,841,033)
Amortisations	-	(1,298,185)	-	(1,298,185)	(1,138,797)
Depreciation	-	(4,977,626)	-	(4,977,626)	(4,526,507)
Finance Cost	-	(1,162,129)	-	(1,162,129)	(1,181,605)
Profit/(Loss) Before Taxation	-	50,591,542	-	50,591,542	35,691,068
Income Tax	-	(759,965)	-	(759,965)	-
Profit/(Loss) for the period	-	49,831,573	-	49,831,573	35,691,068

The Accounting Policies and Notes on pages 75 through 119 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. Corporate Information

1.1 General

Amāna Takaful Life PLC ("the Company") is a public listed company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

1.2 Principal Activities and Nature of Operations

Company

The principal activities of the Company are underwriting of Family (Life) Takaful Insurance businesses in both unitised and non-unitised contracts. Unit linked contracts are which, contract benefits are determined by reference to the unit prices of respective investment fund.

However, in line with the guidelines issued by Insurance Regulatory Commission of Sri Lanka for segregation of composite insurance companies, the commercial operations of the Company commenced with effect from 1st January 2015 as follows:

Amāna Takaful Life PLC was incorporated on 10th July 2014 in order to transfer the Family Takaful business of Amāna Takaful PLC, with effect from 1st January 2015 in line with the requirement to segregate Life and General Insurance business as required by the Regulation of Insurance Industry (RII) (Amendment) Act No. 03 of 2011.

Amāna Takaful Life Limited listed on Diri Savi Board of the Colombo Stock Exchange in the year 2016 by way of offering 50 million ordinary voting shares at Rs. 1.50 per share, which represents a 10% stake in the Company. Company's name was changed during the year from Amāna Takaful Life Limited to Amāna Takaful Life PLC.

1.3 Parent Entity and Ultimate Parent Entity

The Parent Entity of the Company is Amāna Takaful PLC.

1.4 Date of Authorisation for issue

The Financial Statements of Amāna Takaful Life PLC for the year ended 31st December 2017 was authorised for issue by the Board of Directors on 5th April 2018.

1.5 Responsibility for Financial Statements

The Board of Directors is responsible for these Financial Statements.

2. Basis of Preparation

The Company's Statement of Financial Position represents the assets, liabilities of Family Takaful Fund (Unitised and Non-unitised) and equity of Shareholders' Fund.

The Company's Statement of Comprehensive Income reflects revenue, investment income, other income, and related expenses attributable to Family Takaful Fund (Unitised and Non-unitised) and Shareholders' Fund.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Financial Statements are prepared and presented in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) and they also provide information as required under the Companies Act No. 07 of 2007, Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto, Sri Lanka Accounting and Auditing Standards Act No 15 of 1995, Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, Listing Rules of the Colombo Stock Exchange (CSE).

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholder's liabilities have been measured at actuarial determined values
- The liability for defined benefit obligations are actuarially valued and recognised at the present value

The Company presents its Statement of Financial Position broadly in the order of liquidity.

Notes to the Financial Statements

2.3 Functional and Presentation Currency

These Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency and all financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee.

2.4 Use of Estimates and Judgements

In the process of applying the Company's accounting policies, management is required to make judgements, apart from those involving estimations, which has the most significant effect on the amounts recognised in the Financial Statements. Further, management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the Financial Statements. Actual results may differ from these estimates.

2.4.1 Assumptions and Estimations

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below:

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31st December 2017 is included in the following Notes:

Actuarial Valuations of the Insurance Provisions

Note 12 – Long-term Insurance Provision – (Family Takaful Fund)

The valuation of long-term insurance provision was carried out by Zainal Abidin Mohd Kassim (BSc, FIA, ASA) of Actuarial Partners Consulting Sdn Bhd.

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of actuarial valuations have been disclosed in the Note 12 to the Financial Statements.

Note 13 – Employee Benefits

The defined benefit obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

Note 26 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

Note 6 and 10 – Fair Value of Financial Investments

The determination of fair values of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical techniques.

Note 29 – Provisions for Liabilities and Contingencies

The Company receives legal claims against in the normal course of business. Management has made judgements as to the likelihood of any claim succeeding in making provisions. The time of concluding legal claim is uncertain, as in the amount of possible outflow of economic benefits.

Timing and cost ultimately depend on the due process in respective legal jurisdiction.

Note 5 – Property, Plant and Equipment

The Company's entire class of motor vehicles were carried at revalued amounts, assessed by independent professional valuation organisation. Valuation was made on the basis of open market value available.

Notes to the Financial Statements

2.5 Measurement of Fair Values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (Unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following Notes:

- Note 5 – Property, Plant and Equipment
- Note 6 – Financial Investments
- Note 10 – Financial Investment – Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Company engaged in providing services subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Company's management structure.

Segmentation has been determined based on the activities of the Company or sectors into which the product or services are sold. The primary format is based on the core business, Family and Fund management services of Shareholders' Fund.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Company's activities are located mainly in Sri Lanka. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

These Financial Statements are presented on the assumption that the Company is a going concern. The Directors have made an assessment of the Company's ability to continue as a going concern and they do not intend to liquidate.

2.8 Summary of Significant Accounting Policies**2.8.1 Foreign Currency****Foreign Currency Transactions**

Transactions in foreign currencies are translated to the respective functional currencies of the Company at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in Other Comprehensive Income are reclassified to profit or loss); are recognised in Other Comprehensive Income.

Notes to the Financial Statements

2.8.2 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that items recognised directly in equity or in Other Comprehensive Income.

Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue.

The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the Financial Statements and computed in accordance with the provisions of the Inland Revenue Act No. 10 of 2006 and the amendments thereto.

Deferred Taxation

Deferred income tax is assessed, using the asset method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences. Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

2.8.3 Intangible Assets

Software

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the Statement of Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Useful Life	Amortisation Method
Computer Software	20 years	Straight-line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Comprehensive Income when the asset is derecognised.

2.8.4 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period to which it relates, on a straight-line basis.

2.8.5 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Company cedes insurance risk in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies.

Notes to the Financial Statements

Reinsurance assets are reviewed for impairment at each reporting date or more frequently when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss is recorded in the Statement of Comprehensive Income.

Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Comprehensive Income.

2.8.6 Other Assets and Receivables

Other assets and receivables are stated at their estimated realisable value.

2.8.7 Property, Plant and Equipment

Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant and Equipment is the cost of acquisition or construction together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant and Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant and Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The motor vehicles are revalued every three years on a roll-over basis to ensure that the carrying amounts do not differ materially from the fair value at the reporting date.

An item of Property, Plant and Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Comprehensive Income in the year the asset is derecognised.

Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant and Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised as an expense when incurred.

Depreciation

The Company provides depreciation from the date of assets are available for use up to the date of disposal on a straight-line basis over the period appropriate to the estimated useful lives of the different types of assets. Operating leased assets if any, are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant and Equipment are as follows:

Class	Useful Life
Motor Vehicles	05 Years
Computer Equipment	05 Years
Other Equipment	05 Years
Furniture and Fittings	05 Years
Leasehold vehicle	05 Years

The Company provides depreciation from the date the assets are available for use up to the date of disposal.

Notes to the Financial Statements

2.8.8 Leases

Operating Leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership over the leased term are classified as operating leases.

Lease payments (excluding costs for services such as insurance and maintenance) paid under operating leases are recognised as an expense in the Statement of Comprehensive Income on a straight-line basis over the lease term.

2.9 Financial Investments

The Company classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-for-Sale financial assets.

The Company classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Company's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including Shareholders' Fund) is passively managed and/or carried at amortised cost.

The Company's existing types of financial instruments and their classifications are shown in the table below:

Financial Asset	Category
Equity Shares	Fair Value through Profit or Loss and Available for Sale
Unit Trust	Available for Sale
Term Deposits/ Mudharaba Deposits	Loans and Receivables
Treasury Bills/ Repurchase Agreements	Loans and Receivables
Commercial Papers	Loans and Receivables

Financial Liability	Category
Other Liabilities	Other Financial Liabilities

2.9.1 Recognition of Financial Investments

The Company initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Company becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Statement of Financial Position when, and only when, the Company has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

2.9.2 Measurement

Financial Assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held for trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held for trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or the assets and liabilities are part of a company of financial instruments, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in Statement of Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Comprehensive Income.

Notes to the Financial Statements

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts.

Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents. The Cash Flow Statement has been prepared using the direct method. Interest and dividend received are classified as operating cash flows.

Available-for-Sale Financial Investments.

Available-for-Sale financial assets are non-derivative financial assets that are designated as available-for-sale or are not classified in any of the three preceding categories.

These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, available-for-sale financial assets are measured at fair value. Fair value gains and losses are reported as a separate component in Other Comprehensive Income and accumulated in the available-for-sale reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses previously reported in equity are transferred to the Statement of Comprehensive Income.

Other financial liabilities are non-derivative financial liabilities which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

2.9.3 Impairment of Financial Investments

Financial assets not classified as at fair value through profit or loss are assessed at each reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- observable data indicating that there is measurable decrease in expected cash flows from a company of financial assets.

Assets Carried at Amortised Cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced and the loss is recorded in the Statement of Comprehensive Income.

The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a company of financial assets with similar credit risk characteristics and that company of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each reporting date.

Notes to the Financial Statements

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Statement of Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

Available-for-Sale Financial Investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in Other Comprehensive Income, is transferred from equity to the Statement of Comprehensive Income. Reversals in respect of equity instruments classified as available for sale are not recognised in the Statement of Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available for sale are reversed through the Statement of Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Comprehensive Income.

Financial Investments Carried at Cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

2.9.4 Derecognition of Financial Investments

A financial asset (or, when applicable, a part of a financial asset or part of a company of similar financial assets) is derecognised when,

- The rights to receive cash flows from the asset have expired
- The Company retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement

- The Company has transferred its rights to receive cash flows from the asset and either:
- Has transferred substantially all the risks and rewards of the asset, or
- Has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Company has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Company's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Company could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Company's continuing involvement is the amount of the transferred asset that the Company may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Company's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

2.10 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property. Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Comprehensive Income in the year of retirement or disposal.

Notes to the Financial Statements

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under Property, Plant and Equipment up to the date of change.

2.11 Liabilities and Provisions (Excluding Insurance Contracts)

Liabilities

All known liabilities have been accounted for in preparing the Financial Statement.

Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

2.12 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 – “Employee Benefits”.

However, under the Payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Company is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Statement of Financial Position.

The item is stated under defined benefit liability in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Other Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past service costs are recognised as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

Defined Contribution Plans – Employees’ Provident Fund (EPF) and Employees’ Trust Fund (ETF)

Employees are eligible for Employees’ Provident Fund Contributions and Employees’ Trust Fund Contributions in line with the respective statutes and regulations. The Company contributes 12% and 3% of gross emoluments of employees to Employees’ Provident Fund and Employees’ Trust Fund respectively.

Short-Term Employee Benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

2.13 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or company of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Notes to the Financial Statements

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Company makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Comprehensive Income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

2.14 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies. Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

Retakaful Contracts (Reinsurance Contracts)

Outward retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (reinsurance) recoveries are credited to match the relevant gross claims.

Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Technical Provisions – Family Takaful Business Provision and Provision for Unit Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Company on the recommendation of reporting actuary following his annual investigation of the Family Takaful (life insurance) business.

The actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the consultant actuary.

2.15 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

Notes to the Financial Statements

Wakala Fee (Agency/Management Fee)**Wakala Fee (Agency/Management Fee) on Takaful Contribution (Insurance Premium)**

The management fee is charged on contribution of Family Takaful certificates at the following rates:

Family Takaful Products	First Year	80%
	Second Year	45%
	Third Year and After	02%
Mortgage Family Takaful (Insurance) Policies		20%
Group Family Takaful (Insurance) Policies		30%

Wakala Fee (Agency/Management Fee) on Investment Income

The Shareholders' fund is entitled for management fee of 50% on net investment income.

2.15.1 Investment Income**Income from Government Securities**

Interest income is recognised in the Statement of Comprehensive Income as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

Dividend Income

Investment income also includes dividends when the right to receive payment is established for listed securities, this is the date the security is listed as ex dividend.

Realised/Unrealised Gains and (Losses)

Realised gains and losses recorded in the Statement of Comprehensive Income on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

Others

Other income consists with fund management fee and income from surpluses from reinsurers. All other income is recognised on an accrual basis.

2.16 Expenditure Recognition

Expenses are recognised in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant and Equipment in a state of efficiency has been charged to the Statement of Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that nature of expenses method presents fairly the elements of the Company's performance, and hence such presentation method is adopted.

2.17 Events after the Reporting Period

All material post-reporting events have been considered and where appropriate adjustments or disclosures have been made in Note 30 to the Financial Statements.

2.18 Capital Commitments and Contingencies

Capital commitments and contingent liabilities of the Company are disclosed in the Financial Statements.

2.19 Stated Capital

Stated capital in relation to a company means the total of all amounts received by the Company or due and payable to the Company.

2.20 Current and Non-Current Classification

The Company presents assets and liabilities in Statement of Financial Position under liquidity basis. Current non-current analysis of financial assets and liabilities are given under Liquidity Disclosure (Note 32.7).

Notes to the Financial Statements

3. Standards Issued But Not Yet Effective

Impending accountings standards/standards issued not yet effective.

Certain new accounting standards and amendments/ improvements to existing standards have been published, that are not mandatory for 31st December 2017 reporting periods. None of those have been early adopted by the Company.

Sri Lanka Accounting Standard (SLFRS) 9 – “Financial Instrument: Recognition and Measurement” and amendments to Sri Lanka Accounting Standard (SLFRS) 4 – “Insurance Contracts”

SLFRS 9 replaces the existing guidance in LKAS 39 – “Financial Instruments: Recognition and Measurement”. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and derecognition of financial instruments from LKAS – 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. However, based on the amendments to SLFRS 4 – “Insurance Contracts”, issued by CA Sri Lanka on 24th November 2016, the entities whose predominant activity is issuing insurance contracts are permitted to defer the full application of SLFRS 9 until earlier of 2021 due to forthcoming insurance contract standard which is currently expected to commence in 2020.

A preliminary evaluation of SLFRS 9 – has been performed. However, the Company is currently in the process of evaluating and quantifying the accounting impact.

SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognised. It replaces existing revenue recognition guidance, including LKAS 18 – “Revenue”, LKAS 11 – “Construction Contracts” and IFRIC 13 – “Customer Loyalty Programs”.

SLFRS 15 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted. A preliminary evaluation of the existing contracts has been performed relation to the adoption of SLFRS 15. The Company’s current assessment has not revealed a significant change to the revenue recognition pattern. However, the Company is currently in the process of evaluating and quantifying the accounting impact and any impacts on the current systems and processors will be modified where necessary.

SLFRS 16 – “Leases”

SLFRS 16 provides a single lessee accounting model, requiring leases to recognise assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value even though lessor accounting remains similar to current practice. This supersedes: LKAS 17 – “Leases”, IFRIC 4 determining whether an arrangement contains a Lease, SIC 15 Operating Leases – Incentives; and SIC 27 evaluating the substance of transactions involving the legal form of a lease. Earlier application is permitted for entities that apply SLFRS 15 – “Revenue from Contracts with Customers”. SLFRS 16 is effective for annual reporting periods beginning on or after 1st January 2019. The impact on the implementation of the above Standard has not been quantified yet.

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
4. Intangible Assets		
Cost		
At Beginning of the Year	25,848,652	19,569,694
Additions during the Year	–	6,278,958
At End of the Year	25,848,652	25,848,652
Amortisation		
At Beginning of the Year	2,300,098	1,161,301
Charge for the Year	1,298,185	1,138,797
At End of the Year	3,598,283	2,300,098
Carrying Value	22,250,369	23,548,554

4.1 Acquisition of Intangible Assets during the Year

During the financial year, the Company did not acquire/capitalise any Intangible Assets (Computer Software) (2016 – Rs. 6,278,958.00).

4.2 Fully Amortised Intangible Assets in Use

There are no intangible assets that is amortised fully as at reporting date.

4.3 Title Restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Company as at the reporting date.

4.4 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed potential impairment indicators of intangible assets as at 31st December 2017. Based on the assessment, no impairment indicators were identified.

4.5 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Intangible assets during the year (2016 – Nil).

Year Ended 31st December	2017 Rs.	2016 Rs.
5. Property, Plant and Equipment		
Freehold Property, Plant and Equipment (Note 5.1)	14,466,810	8,803,192
Leasehold Property, Plant and Equipment (Note 5.2)	6,698,185	8,663,490
	21,164,995	17,466,682

Notes to the Financial Statements

	Balance as at 1st January 2017 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2017 Rs.
5.1 Freehold Property, Plant and Equipment				
At Cost				
Motor Vehicles	505,001	–	–	505,001
Computer Equipment	4,941,443	1,060,573	–	6,002,015
Other Equipment	2,539,135	3,043,077	–	5,582,212
Furniture and Fittings	4,642,995	4,572,289	–	9,215,284
Total Value of Depreciable Assets	12,628,574	8,675,939	–	21,304,512

	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2017 Rs.
Accumulated Depreciation				
Motor Vehicles	140,930	148,161	–	289,091
Computer Equipment	1,736,735	1,095,442	–	2,832,177
Other Equipment	596,017	576,354	–	1,172,371
Furniture and Fittings	1,351,700	1,192,364	–	2,544,064
Total Depreciation	3,825,382	3,012,321	–	6,837,703
Carrying Amount	8,803,192	–	–	14,466,809

	Balance as at 1st January 2016 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2016 Rs.
Freehold Property, Plant and Equipment				
At Cost				
Motor Vehicles	4,905,001	–	(4,400,000)	505,001
Computer Equipment	4,732,293	209,150	–	4,941,443
Other Equipment	2,082,785	456,350	–	2,539,135
Furniture and Fittings	4,576,210	66,785	–	4,642,995
Total Value of Depreciable Assets	16,296,289	732,285	(4,400,000)	12,628,574

Notes to the Financial Statements

	Balance as at 1st January 2016 Rs.	Charge for the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2016 Rs.
Accumulated Depreciation				
Motor Vehicles	–	1,061,860	(920,930)	140,930
Computer Equipment	784,278	952,457	–	1,736,735
Other Equipment	146,638	449,379	–	596,017
Furniture and Fittings	433,123	918,577	–	1,351,700
Total Depreciation	1,364,039	3,382,273	(920,930)	3,825,382
Carrying Amount	14,932,250	–	–	8,803,192

	Balance as at 1st January 2017 Rs.	Additions during the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2017 Rs.
5.2 Leasehold Property, Plant and Equipment				
Cost/Valuation				
Motor Vehicles	9,807,725	–	–	9,807,725
Total Value of Depreciable Assets	9,807,725	–	–	9,807,725

	Balance as at 1st January 2017 Rs.	Charge for the Year Rs.	Disposals during the Year Rs.	Balance as at 31st December 2017 Rs.
Accumulated Depreciation				
Motor Vehicles	1,144,235	1,965,305	–	3,109,540
Total Depreciation	1,144,235	1,965,305	–	3,109,540
Carrying Amount	8,663,490	–	–	6,698,185

5.3 Acquisition of Property, Plant and Equipment during the year

During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs. 8,675,939/- for cash consideration. (2016 – Rs. 732,285/-).

5.4 Fully depreciated Property, Plant and Equipment in Use

There are no fully depreciated items of Property, Plant and Equipment as at 31st December 2017.

Notes to the Financial Statements

5.5 Title Restriction on Property, Plant and Equipment

There were no restrictions that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

5.6 Assessment of Impairment of Property, Plant and Equipment

The Board of Directors has assessed potential impairment indicators of Property, Plant and Equipment as at 31st December 2017. Based on the assessment, no impairment indicators were identified.

5.7 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs related to the acquisition of Property, Plant and Equipment during the year (2016 – Nil).

5.8 Revaluation

In 2015, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd., which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. In carrying out such valuation market value of similar make, life and condition and year of manufacture of vehicles have been used as main inputs. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the Financial Statements had the assets been carried at cost would have been as follows:

Year Ended 31st December	2017 Rs.	2016 Rs.
Cost	537,011	537,011
Accumulated depreciation	(366,958)	(259,555)
Carrying Value	170,053	277,456

Year Ended 31st December	2017 Rs.	2016 Rs.
6. Financial Investments		
Financial Assets at Fair Value through Profit or Loss (Note 6.1.1)	17,038,280	18,939,154
Available-for-Sale Financial Assets (Note 6.1.2)	25,860,050	24,595,623
Loans and Receivable (Note 6.1.3)	997,677,678	974,863,376
	1,040,576,008	1,018,398,153

Notes to the Financial Statements

6.1 Fair Value through Profit or Loss Investments and Available-for-Sale Investments have been valued at fair value. Loans and Receivables are valued at amortised cost.

Year Ended 31st December

	2017 Rs	2016 Rs
6.1.1 Financial Investments at Fair Value through Profit or Loss		
Investments in Equity Securities (Note 6.3)	17,038,280	18,939,154
	17,038,280	18,939,154
6.1.2 Financial Investments at Available-for-Sale Financial Assets		
Unit Trust – Candor Balance Fund	12,684,213	12,448,401
Unit Trust – Candor Income Fund	13,175,837	12,147,222
	25,860,050	24,595,623
6.1.3 Loans and Receivables		
Investment in Repurchase Agreements	371,730,407	284,299,622
Mudharaba Investments	485,367,123	457,031,809
Investment in Commercial Papers	140,580,148	233,531,945
	997,677,678	974,863,376

6.2 Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act No. 43 of 2000.

Year Ended 31st December

	2017		2016	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
6.3 Investments in Equity Securities				
At Fair Value through Profit and Loss				
Access Engineering PLC	70,000	1,645,000	70,000	1,736,000
Alumex PLC	47,500	878,750	95,000	1,919,000
Ceylon Glass PLC	301,209	1,747,012	301,209	1,596,408
Chevron Lubricants Lanka PLC	40,100	4,771,900	40,100	6,299,710
Colombo Dockyard PLC	22,341	1,977,178	22,341	1,756,002
Haycarb PLC	10,000	1,475,000	10,000	1,500,000
Kelani Vally Plantations PLC	11,100	1,003,440	11,100	664,890
Tokyo Cement Company (Lanka) PLC – Non-Voting	60,000	3,540,000	50,000	2,575,000
Tokyo Cement Company (Lanka) PLC – Voting	–	–	15,070	892,144
	562,250	17,038,280	614,820	18,939,154

Notes to the Financial Statements

6.4 Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The following table shows the fair value hierarchy of the financial assets carried at fair value:

	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.
(a) Fair Value through Profit or Loss Financial Assets			
As at 31st December 2017			
Investments in Equity Securities (Note 6.1.1)	17,038,280	–	–
Investments in Equity Securities – Unit Linked (Note 10.1)	109,653,738	–	–
	126,692,018	–	–
As at 31st December 2016			
Investments in Equity Securities (Note 6.1.1)	18,939,154	–	–
Investments in Equity Securities – Unit Linked (Note 10.1)	96,108,685	–	–
	115,047,839	–	–
(b) Available-for-Sale Financial Assets			
As at 31st December 2017			
Unit Trust (Note 6.1.2)	–	25,860,050	–
Unit Trust – Unit Linked (Note 10.2)		25,158,906	
	–	51,018,956	–
As at 31st December 2016			
Unit Trust (Note 6.1.2)	–	24,595,623	–
Unit Trust – Unit Linked (Note 10.2)		21,669,060	
	–	46,264,683	–

The fair value of unit trust directly obtained from the unit trust market and categorised under level two, based on the expanded level of the market. The company used average unit price of Rs. 10.35 and Rs. 10.29 respectively for unit linked and Non-unit linked investments as at 31st December 2017.

The following financial instruments not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair value, because for example, they are short-term in nature or repriced to current market rates frequently.

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
Carrying Amount		
Financial Assets		
Loans and Receivables	997,677,678	974,863,376
Loans and Receivables – Unit Linked	1,391,865,910	1,355,553,937
Retakaful (Reinsurance) Receivables	250,000	2,250,872
Contribution (Premium) Receivables	33,059,196	27,199,034
Other Assets	20,901,745	30,790,121
Cash and Bank Balances	129,461,474	34,456,620
Cash and Bank Balances – Unit Linked	7,370,003	72,192,842
	2,580,586,006	2,497,306,802
Financial Liabilities		
Finance Lease Liability	5,134,842	6,200,918
Other Liabilities – Unit Linked	21,503,728	16,054,925
Other Liabilities	38,072,517	29,158,328
	64,711,087	51,414,170

7. Retakaful (Reinsurance) Receivables

7.1 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2017. Based on the assessment, no impairment provision is required to be made in the Financial Statement as at reporting date in respect of reinsurance receivables.

7.2 The age analysis of the reinsurance receivables is as follows:

As at 31st December	2017 Rs.	2016 Rs.
Up to 30 days	–	–
31 to 60 days	–	–
61 to 90 days	250,000	–
91 to 180 days	–	–
181 to 365 days	–	2,250,872
Over 365 days	–	–
	250,000	2,250,872

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
8. Contribution (Premiums) Receivables		
Contribution (Premiums) Receivable from Participants	33,059,196	27,199,034
	33,059,196	27,199,034
9. Other Assets		
Financial Assets (Note 9.1)	20,901,745	30,790,121
Non-Financial Assets (Note 9.2)	7,915,138	7,964,440
	28,816,883	38,754,561
9.1 Financial Assets		
Amounts Due from Related Parties – Amāna Takaful PLC	–	5,356,988
Other Receivables	20,901,745	25,433,133
	20,901,745	30,790,121
9.2 Non-Financial Assets		
Advances and Prepayments	7,915,138	7,964,440
	7,915,138	7,964,440
10. Financial Investments – Unit Linked		
Fair Value through Profit or Loss (Note 10.1)	109,653,738	96,108,685
Available-for-Sale (Note 10.2)	25,158,906	21,669,060
Loans and Receivables (Note 10.3)	1,391,865,909	1,355,553,937
	1,526,678,553	1,473,331,682

Financial Investments – Unit Linked, includes a provision of Rs. 124,984,521/- (2016 – Nil). The said provision will be revised upon recovery.

Year Ended 31st December	2017 Rs.	2016 Rs.
10.1 Fair Value through Profit or Loss		
Investment in Equity Securities (Note 10.3.1)	109,653,738	96,108,685
	109,653,738	96,108,685
10.2 Available-for-Sale		
Unit Trust – Condor Income Fund	25,158,906	21,669,060
	25,158,906	21,669,060
10.3 Loans and Receivable		
Investment in Repurchase Agreements	40,965,518	8,068,013
Mudharaba Investments	1,350,900,391	1,347,485,923
	1,391,865,909	1,355,553,937

Notes to the Financial Statements

Year Ended 31st December	2017		2016	
	Number of Shares	Market Value Rs.	Number of Shares	Market Value Rs.
10.3.1 Investment in Equity Securities				
At Fair Value through Profit or Loss				
Access Engineering PLC	797,148	18,732,978	797,148	19,769,270
ACL Cables PLC	78,142	3,313,221	–	–
Alumex PLC	184,653	3,416,081	412,774	8,338,035
Dipped Products PLC	28,137	2,391,645	35,626	3,092,337
Colombo Dockyard PLC	22,948	2,030,898	22,948	1,900,733
Piramal Glass Ceylon PLC	522,240	3,028,992	522,240	2,767,872
Chevron Lubricants Lanka PLC	287,439	34,205,241	61,000	9,486,080
Hayleys MGT Knitting Mills PLC	430,000	5,805,000	430,000	6,450,000
Tokyo Cement Company (Lanka) PLC – Non-Voting	622,537	36,729,683	297,080	17,587,136
Tokyo Cement Company (Lanka) PLC – Voting	–	–	518,781	26,717,222
	2,973,244	109,653,739	3,097,597	96,108,685

Year Ended 31st December	2017 Rs.	2016 Rs.
11. Cash and Cash Equivalents in Statement of Cash Flows		
11.1 Components of Cash and Cash Equivalents		
Cash and Bank Balances	129,461,474	34,456,620
Cash and Bank Balances – Unit Linked	7,370,003	72,192,842
Investments in Government Securities	382,094,256	190,448,301
	518,925,733	297,097,763

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
12. Insurance Contract Liabilities		
Insurance Contract Liability	2,070,428,259	2,018,316,178
Surplus of the Fund	35,417,365	45,742,539
Total Insurance Contract Liability (Note 12.1, Note 12.2)	2,105,845,624	2,064,058,717
12.1 Insurance Contract Liabilities – Family Takaful Fund		
Participant Investment Fund (PIF)	475,221,961	464,512,092
Participant Tabarru Fund (PTF) and Group Fund (GF)	100,362,123	90,590,277
Unearned Premium – Group Family Takaful	5,126,039	4,811,475
	580,710,123	559,913,844
12.2 Insurance Contract Liabilities – Unit Linked		
Unit Fund – Unit Linked	1,497,537,383	1,457,715,529
Participant Tabarru Fund and Group Fund – Unit Linked	27,604,118	46,429,344
	1,525,135,501	1,504,144,873
12.3 The Movement in the Life Insurance Fund is as follows:		
Balance as at 1st January	2,059,247,242	1,758,120,652
Net Change in Contract Liabilities	40,535,552	301,048,132
Balance as at 31st December	2,099,789,794	2,059,247,242

12.4 The insurance provision has been based upon the following assumptions and other information:

12.4.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit-Linked business, the Company has chosen Valuation Interest Rates of 2.5% and 2.0% respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5% is used which is based on the average of the last 3 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate of 100% of the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Notes to the Financial Statements

Lapse Assumption

Lapse rate assumptions are based on a combination of the Company's experience for early durations as well as industry experience in Sri Lanka. The Company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The Company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses are assumed that 17.0% of the variable expenses and 12.8% of the fixed expenses will be charged to the PTF for Family Takaful and Unit-Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

12.4.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31st December 2017 was made by Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long-term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policyholders.

12.5 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia as at December 2017 as required by SLFRS 4 – Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compares this amount with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and further any additional reserves as at 31st December 2017.

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
13. Employee Benefits		
Employee Benefits – Gratuity		
At beginning of the Year	4,316,884	4,558,055
Net Benefit Expense (Note 13.1)	2,022,158	2,789,922
	6,339,042	7,347,977
Payments during the Year	(326,042)	(3,031,093)
At end of the Year	6,013,000	4,316,884
13.1 Net Benefit Expense		
Included in Statement of Comprehensive Income		
Interest Cost	505,075	433,015
Current Service Cost	832,072	719,667
	1,337,147	1,152,682
Included in Other Comprehensive Income		
Actuarial Loss on Obligations	685,011	1,637,240
	685,011	1,637,240
Net Benefit Expense	2,022,158	2,789,922

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Piyal S. Goonetilleke (Fellow of the Society of Actuaries – USA) in 2017 as requires by LKAS 19 – “Employee Benefits”.

Notes to the Financial Statements

Principal actuarial assumptions used:

Year Ended 31st December	Percentage per Annum	
	2017	2016
(a) Discount Rate	10.1	11.7
(b) Salary Increase	9	10
(c) Incidence of Withdrawals	2	4
(d) Retirement age	55 Years	55 Years
(e) Expected Average Future Working Life of the Active Participants	4.6 Years	4.6 Years

The liability is not externally funded

13.2 Sensitivity

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

Year Ended 31st December	2017		2016	
	Increase	Decrease	Increase	Decrease
Discount Rate (1% movement)	321,627	(288,842)	(210,331)	233,852
Future Salary Growth (1% movement)	(286,001)	313,361	229,184	(209,463)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
14. Other Liabilities – Unit Linked		
Financial Liabilities (Note 14.1)	21,503,728	16,054,925
Non-Financial Liabilities (Note 14.2)	30,341,125	34,260,650
	51,844,853	50,315,575
14.1 Financial Liabilities		
Retakaful Payable	21,503,728	16,054,925
14.2 Non-Financial Liabilities		
Advances	14,711,321	19,945,837
Other Creditors	15,629,804	14,314,813
	30,341,125	34,260,650
15. Other Liabilities		
Financial Liabilities (Note 15.1)	38,072,518	29,158,328
Non-Financial Liabilities (Note 15.2)	28,928,754	30,031,416
	67,001,272	59,189,744
15.1 Financial Liabilities		
Commission Payable	9,923,136	13,553,000
Retakaful Payable	11,714,252	15,605,328
Amounts Due to Related Party – Amāna Takaful PLC	16,435,130	–
	38,072,518	29,158,328
15.2 Non-Financial Liabilities		
Accrued Liabilities	3,792,472	6,498,527
Other Creditors	25,136,282	23,532,889
	28,928,754	30,031,416
16. Finance Lease Liability		
Opening Balance	8,296,080	–
Lease Obtained	–	9,572,400
Repayments	(1,914,480)	(1,276,320)
	6,381,600	8,296,080
Unamortised Profit	(1,246,758)	(2,095,162)
Net Liability	5,134,842	6,200,918

Notes to the Financial Statements

	1 Year or Less Rs.	2-5 Years Rs.	Total Rs.
Maturity Analysis			
Gross Liability	1,914,480	4,467,120	6,381,600
Unamortised Profits	(629,461)	(617,297)	(1,246,758)
Net Liability	1,285,019	3,849,823	5,134,842

Year Ended 31st December

2017

2016

17. Stated Capital

Fully-Paid Ordinary Shares – Voting (Rs.)	500,000,000	500,000,000
Number of Ordinary Shares – Voting	500,000,000	500,000,000

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

The Company listed on Diri Savi Board of the Colombo Stock Exchange by way of offering 50 million ordinary voting shares at 1.50 Rupees per share, which represents a 10% stake in the Company. The Board of Directors is of the opinion that the Share Offer Price is fair and reasonable to the Company and to all existed shareholders.

18. Other Reserves

Reserves consists of the following:

18.1 Available-for-sale Reserve

The Available-for-sale Reserve comprises the cumulative net change in the fair value of Available for Sale financial assets until the assets are derecognised or impaired.

18.2 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available-for-sale financial assets related to Family Takaful Fund.

18.3 Revaluation Reserve

The revaluation reserve relates to the revaluation of motor vehicles under Property, Plant and Equipment (Refer Note 5).

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
19. Gross Written Contribution (Premium)		
Family Takaful	101,059,718	106,314,067
Mortgage and Group Family Takaful	39,729,789	55,040,630
Unit Linked	651,384,097	659,371,389
	792,173,604	820,726,086
20. Income from Investments		
Investment Income (Note 20.1)	246,911,440	190,623,114
Unrealised Capital Gain – Fair Value through Profit or Loss Investments	5,065,269	15,817,648
Net Realised Capital (Losses) or Gain – Fair Value through Profit or Loss Investments	1,124,161	(2,016,603)
	253,100,870	204,424,159
20.1 Investment Income		
Dividend Income	9,826,985	4,925,312
Income from Mudharaba Investments	205,213,901	161,129,670
Interest Income from Investment in Government Securities	31,870,554	24,655,567
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred to Profit or Loss	–	(87,434)
	246,911,440	190,623,114
21. Other Income		
Fund Management Fee Income	13,633,725	10,744,693
Sundry Income	2,333,157	6,974,318
Disposal Gain from Property, Plant and Equipment	–	645,930
	15,966,882	18,364,941
22. Takaful (Insurance) Claims and Benefits (Net)		
Claims Incurred	80,009,096	56,504,385
Surrenders	295,192,689	221,838,805
Policy Maturities	16,487,198	25,387,133
Interim Payments/Part Withdrawals	31,786,443	16,451,013
	423,475,426	320,181,336

Notes to the Financial Statements

Year Ended 31st December	2017 Rs.	2016 Rs.
23. Other Operating and Administration Expenses		
Staff Expenses (Note 23.1)	114,178,011	80,256,507
Administration and Establishment Expenses	241,994,213	114,195,656
Selling Expenses	6,729,276	18,891,448
Depreciation (Note 5)	4,977,626	4,526,507
Consultancy Fees	9,404,768	8,103,375
Travel Expenses	42,559,058	35,394,047
	419,842,953	261,367,540
23.1 Staff Expenses		
Wages, Salaries and Bonuses	90,375,100	61,402,579
Contribution to Defined Contribution Plans – EPF and ETF	11,921,690	8,912,776
Staff Welfare	4,334,195	3,208,384
Staff Training	4,508,974	4,297,740
Medical Claims	1,700,905	1,282,346
Employee Benefit/Gratuity (Note 13.1)	1,337,147	1,152,682
	114,178,011	80,256,507
24. Finance Cost		
Profit Mark-up on Lease (Ijara) Facility	1,162,129	1,181,605
	1,162,129	1,181,605

Notes to the Financial Statements

25. Profit from Operations for the Year

is stated after charging the following:

Year Ended 31st December	2017 Rs.	2016 Rs.
Directors' Emoluments		
– Executive	–	265,000
– Non-Executive	2,201,832	1,801,571
Auditors' Remuneration		
– Audit	920,192	750,000
– Audit-Related Other	720,210	420,000
– Non-Audit	450,495	381,600
Depreciation	4,977,626	4,526,507
Amortisation of Intangibles	1,298,185	1,138,797

26. Income Tax Expense

Amāna Takaful Life PLC is liable for income tax at 28% on the taxable income for the Year of Assessment 2017/2018 (2016/2017 – 28%).

Year Ended 31st December	2017 Rs.	2016 Rs.
26.1 Tax Reconciliation Statement		
Accounting Profit before Tax	50,591,542	35,691,068
Aggregate Disallowed Items	13,864,645	12,170,094
Aggregate Allowable Expenses	(208,253,991)	(124,303,835)
Tax Loss	(143,797,804)	(76,442,673)
Deemed Dividend Tax		
Distributable Profits for the Year of Assessment 2016/17	15,199,259	–
10% of Distributable Profit of 2016/17	1,519,926	–
33 1/3% of the Distributable Profit of 2016/17	5,066,420	–
Dividends Distributed on or Before 30th September 2017	–	–
Tax on Distributable Profit at 15%	759,965	–

Notes to the Financial Statements

Unrecognised Deferred Tax Asset

Deferred Tax Asset/(Liability) is attributable to the following:

Year Ended 31st December	2017		2016	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
On Retirement Benefit Obligations	6,013,000	1,683,640	4,316,884	1,208,728
On Life Policyholders' Reserve	1,664,917	466,177	2,789,077	780,942
Accumulated Tax Losses	894,697,382	250,515,267	641,114,691	179,512,113
	902,375,299	252,665,084	648,220,652	181,501,783

Deferred tax asset of Rs. 252,665,084/- (2016: Rs. 181,501,783/-) as at 31st December 2017 arising out of the above temporary differences has not been recognised since it is not probable that future taxable profits will be available against which the Company can utilise the benefits therefrom.

27. Earnings per Share

27.1 Basic Earnings Per Share is calculated by dividing the profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

27.2 The following reflect the income and share data used in the Basic Earnings per Share computations:

Year Ended 31st December	2017	2016
Amount used as the Numerator:		
Profit for the Year (Rs.)	49,831,573	35,691,069
Number of Ordinary Shares used as Denominator:		
Weighted Average Number of Ordinary Shares in Issue (Nos.)	500,000,000	500,000,000
Earnings per Share (Rs.)	0.10	0.07

27.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning per Share is same as Basic Earnings per Share shown above.

Notes to the Financial Statements

28. Related Party Disclosures

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosures”. Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. These transactions are reviewed by Related Party Transaction Committee on frequent basis. Details of related party transactions are reported below:

A. Transactions and Outstanding Balances with the Related Companies

Relationship	Nature of Transactions and Outstanding Balances	2017 Rs.	2016 Rs.
Parent	Reimbursement Cost	114,835,839	79,943,674
	Initial Public Offer	–	(50,000,000)
	Takaful Premium Paid	1,921,647	939,846
	Claims Received	229,434	1,126,793
	Takaful Premium Payable	–	109,280
	Takaful Premium Received	571,734	527,159
	Claims Paid	–	565,000
	Current Account Settlements	87,085,004	128,987,924
	Dividend Paid	–	10,000,000
	Current Account Balance	16,435,130	5,356,988
Other Related Companies	Takaful Premium Received	–	37,067
	Investments	172,500,000	37,000,000
	Investment Income Earned	5,714,622	32,438
	Investments Guaranteed	45,658,958	–
	Management Fee Paid	5,556,948	4,660,308

Related Party Transactions in Excess of 10% of the Equity and 5% of the Total Assets of the Company.

Name of Related Party	Relationship	Transaction		Terms and Rationale
		Value	Percentage on Equity	
Amāna Holdings Limited	Parent of Immediate Parent Company	156,000,000	31%	Corporate Debt Instrument for 3 months for a return of 16%

Notes to the Financial Statements

B. Compensation of Key Management Personnel

According to Sri Lanka Accounting Standard (LKAS) 24 – “Related Party Disclosure”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Company.

The Company carries out transactions with KMPs and their close family members in the ordinary course of its business on an arms length basis at commercial rates.

The Company has made following payments to Key Management Personnel during the year.

Year Ended 31st December	2017 Rs.	2016 Rs.
Salary and Other Short-term Benefits	9,387,839	8,338,024
Contributions Made by the Company to EPF and ETF	886,238	966,526
Non-Cash Benefits	1,140,000	1,305,000
Termination Benefits	–	2,047,500
	11,414,077	12,657,050

29. Commitments and Contingencies**29.1 Commitments**

The Company does not have significant capital commitments as at the reporting date.

29.2 Contingencies

The Company does not have significant contingencies as at the reporting date.

30. Events Occurring after the Reporting Period

There have been no event occurring after the reporting period that require adjustments to or disclosures in these Financial Statements.

31. Assets Pledged

No assets have been pledged as security for liabilities as at the reporting date.

Notes to the Financial Statements

32. Risk Management

32.1 Overview

All entities face uncertainty and the challenge for the Company is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

32.2 Risk Management Framework

Amāna Takaful Life PLC Risk Management Framework forms an integral part of the management and Board processes and decision-making framework across the Company. The Company has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors has the overall responsibility for the establishment and oversight of the Company's Risk Management Framework and thus, their approval is necessary for the Risk management Strategies. The Company's Risk Management Framework categorised into four lines of defence as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defence.
2. Policies and Procedures – the Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – the governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Company.

This section discusses the salient features of the risks exposed by the Company in terms of financial instruments and other areas as an insurance company. The financial instruments of the Company are exposed to the following risks:

1. Financial Risk
2. Market Risk
3. Insurance Risk
4. Liquidity Risk

32.3 Financial Risk

32.3.1 Capital Management

A. Objectives and policies

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory guidelines.
- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities taking account of risks inherent in the business.

Notes to the Financial Statements

The Company currently has a stated capital worth Rs. 500 Mn which is the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Company are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities.

B. Approach to capital management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Regulatory Commission of Sri Lanka (IRCSL). This primarily helps the Company to maintain the required levels of solvency at all times at different funds. In meeting the objectives mentioned above, the capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meets regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

32.4 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise –

1. Premium Receivable
2. Reinsurance Receivable
3. Financial Investments
4. Bank Balances
5. Other Financial Assets

The following policies and procedures are in place to mitigate the Company's exposure to credit risk:

- All Reinsurers are selected based on the ratings as required by IRCSL.
- The Investment Committee evaluates the exposure and the new investments in instruments in order to reduce the risks.

Notes to the Financial Statements

32.4.1 Credit Exposure

The Company's maximum exposure to credit risk for the components of the Statement of Financial Position at 31st December 2017 and 2016 is the carrying amounts of respective financial instruments.

Year Ended 31st December	2017 Rs.	2016 Rs.
Financial Assets		
Fair Value through Profit or Loss		
Investment in Equity Securities	17,038,280	18,939,154
Investment in Equity Securities – Unit Linked	109,653,738	96,108,685
Available-for-Sale Financial Assets		
Unit Trust	25,860,050	24,595,623
Unit Trust – Unit Linked	25,158,906	21,669,060
Loans and Receivables		
Mudhrabha Investments	485,367,123	457,031,809
Repurchase Agreements	371,730,407	284,299,622
Mudhrabha Investments – Unit Linked	1,350,900,391	1,347,485,923
Repurchase Agreements – Unit Linked	40,965,518	8,068,013
Investment in Commercial Papers	140,580,148	233,531,945
Other Financial Assets		
Retakaful (Reinsurance) Receivables	250,000	2,250,872
Contribution (Premium) Receivables	33,059,196	27,199,034
Other Assets	20,901,745	30,790,121
Cash and Cash Equivalents	129,461,474	34,456,620
Cash and Cash Equivalents – Unit Linked	7,370,003	72,192,842
Total Financial Assets	2,758,296,979	2,658,619,322

Notes to the Financial Statements

Year Ended 31st December	Neither Past Due Nor Impaired Rs.	Past Due But Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2017 Rs.
Financial Assets				
Fair Value through Profit or Loss				
Investment in Equity Securities	17,038,280	–	–	17,038,280
Investment in Equity Securities – Unit Linked	109,653,738	–	–	109,653,738
Available-for-Sale Financial Investments				
Unit Trust	25,860,050	–	–	25,860,050
Unit Trust – Unit Linked	25,158,906	–	–	25,158,906
Loans and Receivables				
Mudhrabha Investments	485,367,123	–	–	485,367,123
Repurchase Agreements	371,730,407	–	–	371,730,407
Mudhrabha Investments – Unit Linked	1,350,900,391	–	–	1,350,900,391
Repurchase Agreements – Unit Linked	40,965,518	–	–	40,965,518
Investment in Commercial Papers	84,080,148	56,500,000	–	140,580,148
Other Assets Exposed to Credit Risk				
Retakaful (Reinsurance) Receivables	250,000	–	–	250,000
Contribution (Premium) Receivables	33,059,196	–	–	33,059,196
Other Assets	20,901,745	–	–	20,901,745
Cash and Cash Equivalents	129,461,474	–	–	129,461,474
Cash and Cash Equivalents – Unit Linked	7,370,003	–	–	7,370,003
Total Credit Exposure	2,701,796,979	56,500,000	–	2,758,296,979

Notes to the Financial Statements

Year Ended 31st December

Neither
Past Due
Nor Impaired
Rs.Past Due But
Not Impaired
Rs.Individually
Impaired
Rs.As at
31st December
2016
Rs.**Financial Assets****Fair Value through Profit or Loss**

Investment in Equity Securities	18,939,154	–	–	18,939,154
Investment in Equity Securities – Unit Linked	96,108,685	–	–	96,108,685

Available-for-Sale Financial Investments

Unit Trust	24,595,623	–	–	24,595,623
Unit Trust – Unit Linked	21,669,060	–	–	21,669,060

Loans and Receivables

Mudhrabha Investments	457,031,809	–	–	457,031,809
Repurchase Agreements	284,299,622	–	–	284,299,622
Mudhrabha Investeents – Unit Linked	1,347,485,923	–	–	1,347,485,923
Repurchase Agreements – Unit Linked	8,068,013	–	–	8,068,013
Investment in Commercial Papers	233,531,945	–	–	233,531,945

Other Assets Exposed to Credit Risk

Cash and Cash Equivalents	34,456,620	–	–	34,456,620
Cash and Cash Equivalents – Unit Linked	72,192,842	–	–	72,192,842
Retakaful (Reinsurance) Receivables	2,250,872	–	–	2,250,872
Contribution (Premium) Receivables	27,199,034	–	–	27,199,034
Other Assets	30,790,121	–	–	30,790,121
Total Credit Exposure	2,658,619,321	–	–	2,658,619,321

Notes to the Financial Statements

32.5 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Company. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e. inflation, determines the cost of administration.

32.5.1 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Company has a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Company invests only in sound fundamental value giving investments to the Company greater security in its invested equity securities.

Year Ended 31st December	Equity Exposure			
	2017		2016	
	Exposure Rs.	Sector Weight %	Exposure Rs.	Sector Weight %
Construction	1,645,000	10	1,736,000	9
Manufacturing	14,389,840	84	16,538,264	87
Plantation	1,003,440	6	664,890	4
	17,038,280	100	18,939,154	100
Construction	24,077,097	22	21,670,003	23
Manufacturing	85,576,642	78	74,438,681	77
	109,653,738	100	96,108,685	100

32.5.2 Currency Risk

Currency risk is the risk of loss resulting from changes in exchange rates. The Company's principle operation is based in Sri Lanka; therefore it is not exposed to the financial impact arising from changes in the exchange rates of various currencies.

32.5.3 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate due to changes in the market interest rates. Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value interest risk.

The Company invests in Treasury Bills primarily to meet the mandatory requirement of the Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

Notes to the Financial Statements

32.6 Insurance Risk

Being an insurance Company, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers in that context, we have identified the following three major risk areas under this Category:

- Underwriting Risks
- Claims Risks
- Reinsurance Risk

In addition to the above life insurance is specifically subject to the following risks:

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected
3. Investment return risk – risk of loss arising from actual returns being different than expected
4. Expense risk – risk of loss arising from expense experience being different than expected
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected

In order to mitigate such risk the Company has adopted various strategies. The Company strategy is driven by the comprehensive screening of policyholders in order to ascertain current medical status, family medical history the key been the comprehensive screening of participants. Further the Company ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Company also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behaviour.

32.6.1 Underwriting Risks

In Insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price – The Company has strict pricing mechanisms which need to be adhered in respect of various classes of products. Pricing is based on the Acturial Valuation of the product plan done by Actuarial Partners.
- ii. Exposure – The Company fully ensures that the Company does not underwrite risk which does not suit its risk profile and further ensures all high volume risks are re-insured.
- iii. Personnel – The Company ensures that all underwriting personnel in life are adequately trained. Further all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPIs) with regard to revenue and profitability of product segments. Further it should be noted that the Company monthly monitors product profitability of all main classes of insurance.

Notes to the Financial Statements

32.6.2 Claims Risk

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect Company performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully-emphasised in Key Performance Indicators of all staff levels.

32.6.3 Reinsurance Risk

Insurance companies in events where sum insured is extremely high in comparison to premium earned decide on reinsuring the policy with another insurer in order to mitigate/share its loss in the case of disaster. The risk borne would add up to the premium foregone in the event that disaster does not occur to the said policy.

Management Strategy

The Board Risk Committee annually reviews the list of reinsurers to ensure that the Company's exposure is hedged to maximum effect whilst periodically monitoring the financial status and condition of the same. The Company employs pre-agreed treaty insurance agreements to hedge against day-to-day insurance exposure whilst engages in facultative insurance to hedge against extraordinary insurance risks in the line of day-to-day business.

32.6 Insurance Risk

32.6.3 Reinsurance Risk

Class of Business	Name of the Reinsurer	Reinsurers Country of Origin	Name of the Regulatory Authority which Approval Obtained to Transact Reinsurance Business*	License Validity Period of the Reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long-term Takaful Plans (Endowments)	Score Global Life SE Hanover Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017
		Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
Other								
1. All Family Takaful Policies (CAT Cover)	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
2. Unit Link Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017
3. Group Family	Hanover Re	Bahrain	Central Bank of Bahrain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	30.10.2017
4. Credit and Mortgage Takaful	Score Global Life SE	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA-	AA-	S&P	07.09.2017

Notes to the Financial Statements

32.7 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Company has a standard set of guidelines set-up by an Investment policy under the purview of the Investment Committee which is followed in accordance with the IRCSL guidelines.

The following policies and procedures are in place to mitigate the Company's exposure to liquidity risk:

- The Company maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Company investments based on remaining maturity is given below:

Maturity Analysis 2017	Less than One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More than 5 Years Rs.	No. Stated Maturity Rs.	Total Rs.
Financial Assets						
Investments in Equity Securities	126,692,018	–	–	–	–	126,692,018
Repurchase Agreements	412,695,926	–	–	–	–	412,695,926
Unit Trust	51,018,956	–	–	–	–	51,018,956
Mudharaba Investments	1,539,876,229	15,032,967	281,358,318	–	–	1,836,267,514
Investment in Commercial Papers	46,640,632	–	93,939,516	–	–	140,580,148
Retakaful (Reinsurance) Receivables	250,000	–	–	–	–	250,000
Contribution (Premium) Receivables	33,059,196	–	–	–	–	33,059,196
Other Assets	20,901,745	–	–	–	–	20,901,745
Cash and Bank Balances	129,461,474	–	–	–	–	129,461,474
Cash and Bank Balances – Unit Linked	7,370,003	–	–	–	–	7,370,003
	2,367,966,179	15,032,967	375,297,834	–	–	2,758,296,970
Financial Liabilities						
Finance Lease Liability	1,285,019	3,226,867	622,956	–	–	5,134,842
Other Liabilities	38,072,517	–	–	–	–	38,072,517
Other Liabilities – Unit Linked	21,503,728	–	–	–	–	21,503,728
	60,861,264	3,226,867	622,956	–	–	64,711,087

Notes to the Financial Statements

Maturity Analysis 2016	Less than One Year Rs.	1-3 Years Rs.	3-5 Years Rs.	More than 5 Years Rs.	No. Stated Maturity Rs.	Total Rs.
Financial Assets						
Investments in Equity Securities	115,047,838	-	-	-	-	115,047,838
Repurchase Agreements	292,367,635	-	-	-	-	292,367,635
Unit Trust	46,264,683	-	-	-	-	46,264,683
Mudharaba Investments	1,427,668,770	43,013,699	301,779,849	-	-	1,772,462,318
Investment in Commercial Papers	233,531,945					233,531,945
Retakaful (Reinsurance) Receivables	2,250,872	-	-	-	-	2,250,872
Contribution (Premium) Receivables	27,199,034	-	-	-	-	27,199,034
Other Receivables	30,790,121	-	-	-	-	30,790,121
Other Assets – Unit Linked	32,055,415	-	-	-	-	32,055,415
Cash and Bank Balances	34,456,620	-	-	-	-	34,456,620
Cash and Bank Balances – Unit Linked	72,192,842	-	-	-	-	72,192,842
	2,313,825,775	43,013,699	301,779,849	-	-	2,658,619,322
Financial Liabilities						
Finance Lease Liability	1,066,076	4,511,886	622,956	-	-	6,200,918
Other Liabilities	29,158,328	-	-	-	-	29,158,328
Other Liabilities – Unit Linked	16,054,925	-	-	-	-	16,054,925
	46,279,329	4,511,886	622,956	-	-	51,414,171

Notes to the Financial Statements

31st December 2017	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Industry Analysis								
Assets								
Fair Value through Profit or Loss								
Investments in Equity Securities	-	-	-	-	-	16,034,840	1,003,440	17,038,280
Investments in Equity Securities – Unit Linked	-	-	-	-	-	109,653,738	-	109,653,738
Available-for-Sale Financial Investments								
Unit Trust	-	51,018,956	-	-	-	-	-	51,018,956
Loans and Receivables								
Repurchase Agreements	-	-	371,730,407	-	-	-	-	371,730,407
Repurchase Agreements – Unit Linked	-	-	40,965,518	-	-	-	-	40,965,518
Mudharaba Investments	485,367,123	-	-	-	-	-	-	485,367,123
Mudharaba Investments – Unit Linked	1,350,900,391	-	-	-	-	-	-	1,350,900,391
Investment in Commercial Papers	-	-	-	-	-	-	140,580,148	140,580,148
	1,836,267,514	51,018,956	412,695,925	-	-	125,688,578	141,583,588	2,567,254,262

Notes to the Financial Statements

31st December 2016	Financial Services	Asset Management	Government	Food and Beverages	Telecommunication	Construction, Manufacturing, Power and Chemicals	Others	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Industry Analysis								
Assets								
Fair Value through Profit or Loss								
Investments in Equity Securities	-	-	-	-	-	18,274,264	664,890	18,939,154
Investments in Equity Securities – Unit Linked	-	-	-	-	-	96,108,685	-	96,108,685
Available-for-Sale Financial Investments								
Unit Trust	-	46,264,683	-	-	-	-	-	46,264,683
Loans and Receivables								
Repurchase Agreements	-	-	284,299,622	-	-	-	-	284,299,622
Repurchase Agreements – Unit Linked	-	-	8,068,013	-	-	-	-	8,068,013
Mudharaba investments	457,031,809	-	-	-	-	-	-	457,031,809
Mudharaba investments – Unit Linked	1,315,430,509	-	-	-	-	-	-	1,315,430,509
Investment in Commercial Papers	-	-	-	-	-	26,113,014	207,418,932	233,531,945
	1,772,462,318	46,264,683	292,367,635	-	-	140,495,962	208,083,822	2,459,674,420

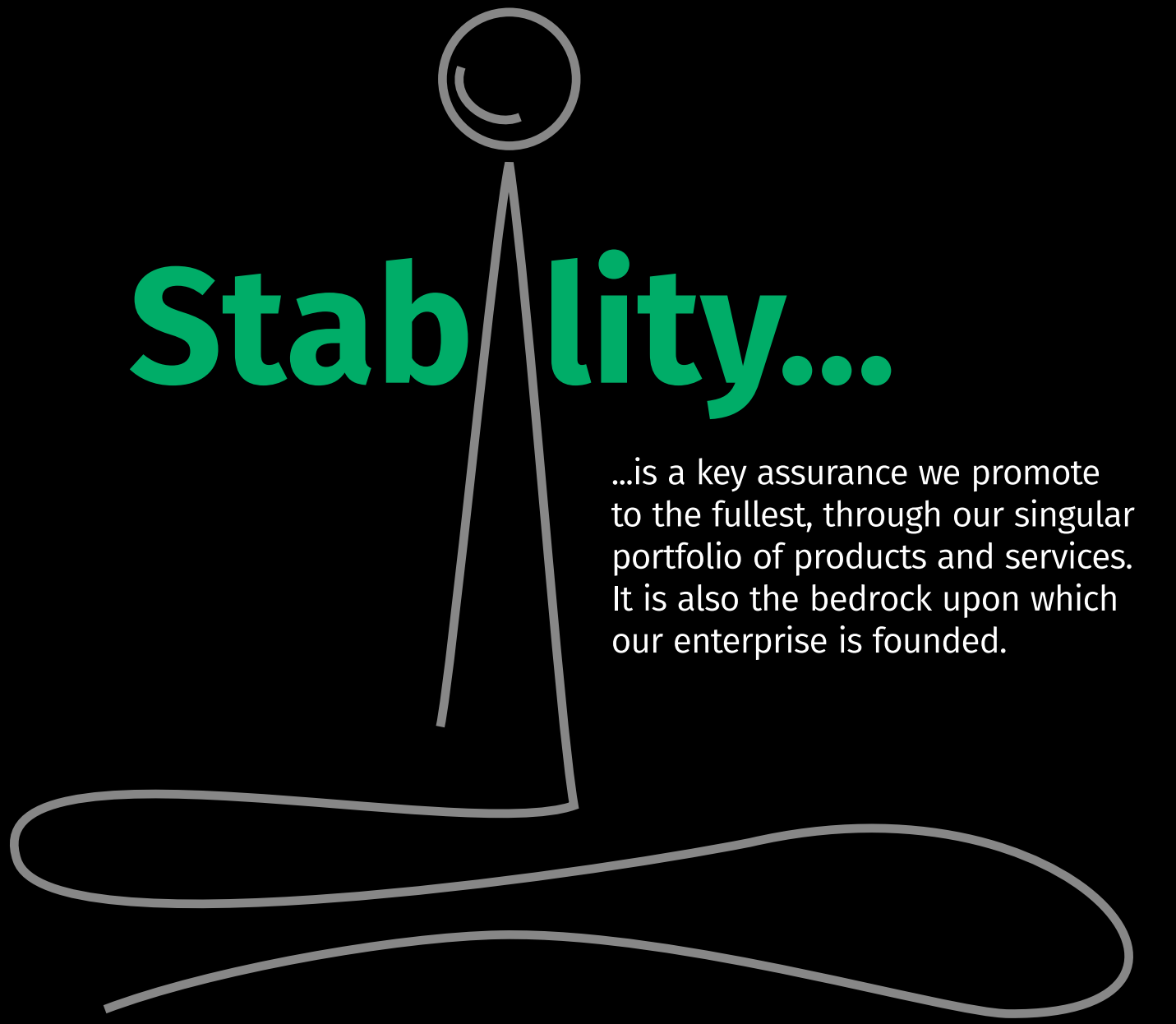
33. Comparative Information

The presentation and classification in the Financial Statements have been amended where appropriate to ensure comparability with the current year.

The accounting policies have been consistently applied by the Company and the Group with those of the previous financial year in accordance with the Sri Lanka Accounting Standard – LKAS 1 – “Presentation of Financial Statements”. Comparative information including quantitative, narrative and descriptive information is disclosed in respect of the previous period in the Financial Statements in order to enhance the understanding of the current period’s Financial Statements and to enhance the inter period comparability. The presentation and classification of the Financial Statements of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

The presentation and classification of the following items in these Financial Statements are amended to ensure the comparability with the current year:

	As Disclosed Previously Rs.	Current Presentation Rs.	Adjustment Rs.
Other Assets – Unit Linked	32,055,415	-	(32,055,415)
Financial Investments – Unit Linked	1,441,276,267	1,473,331,682	32,055,415



Stability...

...is a key assurance we promote to the fullest, through our singular portfolio of products and services. It is also the bedrock upon which our enterprise is founded.

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Form of Proxy/Enclosed

Corporate Information/Inner Back Cover

Value Added Statement

Year Ended 31st December	2017 Rs. Mn	2016 Rs. Mn
Net Earned Contribution (Premium)	765	806
Investment and Other Income	269	223
Net Claims and Benefits	(423)	(320)
Cost of external services	(400)	(287)
Total Value added	211	422
To employees as Salaries and other benefits	114	80
To the Government as taxes	1	–
Increase in Family Takaful (Long-term Insurance) Fund	41	301
Retained with the business	–	–
– depreciation	5	5
– in reserves	50	36
Total Value added	211	422

Share Information

1. Analysis of the Distribution of Shareholders as at 31st December 2017

Shareholding	Resident			Non-Resident			Total		
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%
1 – 1,000	463	197,128	0.04	2	1,275	0.00	465	198,403	0.04
1,001 – 10,000	348	1,816,202	0.36	–	–	–	348	1,816,202	0.36
10,001 – 100,000	155	6,359,925	1.27	1	25,000	0.01	156	6,384,925	1.28
100,001 – 1,000,000	31	7,291,997	1.46	–	–	–	31	7,291,997	1.46
Over 1,000,000	5	484,308,473	96.86	–	–	–	5	484,308,473	96.86
	1,002	499,973,725	99.99	3	26,275	0.01	1,005	500,000,000	100.00

The percentage of shares held by the public as at 31st December 2017 was 10% (31st December 2016 – 9.9%), where the number of shareholders was 1,004 (31st December 2016 – 770)

2. Top 20 Shareholders as at 31st December 2017

	2017	
	No. of Shares	%
Amāna Takaful PLC	450,000,000	90.00
Seylan Bank PLC/Dr. Thirugnanasambandar Senthilvel	27,427,441	5.49
Sampath Bank PLC/Dr. Thirugnanasambandar Senthilvel	3,356,865	0.67
Behman Pestonjee	1,962,000	0.39
Dr. Thirugnanasambandar Senthilvel	1,562,167	0.31
Amāna Candor Shariah Balanced Fund	1,000,000	0.20
Abdul Azees Mohamed Anas	491,000	0.10
Ahamad Mohamed Subair	344,000	0.07
Mohamed Sahabdeen Mohamed Ikram	319,000	0.06
Mohamed Fazal	268,040	0.05
Herath Mudiyanseelage Dhammika Bandara Herath	256,939	0.05
Muhammadu Muyeess Muhammadu Abdul Cader	246,000	0.05
Mohamed Luthufur Rahman	246,000	0.05
Manchanayaka Appuhamilage Yasassri Rangana Manchanayaka	246,000	0.05
Manchanayake Appuhamilage Buddima Chathuri Manchanayake	246,000	0.05
Manchanayaka Appuhamilage Tharindu Ganganath Manchanayaka	246,000	0.05
Mohamed Nizamdeen Mohamed Nazir	246,000	0.05
Epa Ranasinghe Imiya Appuhamilage Anoja Ranasinghe	246,000	0.05
Madagammadde Gedara Krishantha Kalum Jayarathne	209,871	0.04
Gnanawathie Michel Jayawila	197,970	0.04
Sub Total	489,117,293	97.82
Other Shareholders	10,882,707	2.18
Total	500,000,000	100.00

Share Information

Year Ended 31st December	Company	
	2017 Rs.	2016 Rs.
3. Investor Ratios		
Earnings/(Loss) per Share	0.10	0.07
Dividend per Share	–	0.02
Net Assets per Share	1.15	1.05
4. Market Value of Shares		
Highest Value	1.70	1.90
Lowest Value	1.00	1.20
Year end Value	1.10	1.30

Ten Year Summary

Amāna Takaful Life PLC/Long-term (Family Takaful) Insurance Business

Statement of Income for the Year ended	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Gross Written Contribution (Premium)	792,174	820,726	928,294	679,029	542,986	364,759	317,897	240,156	207,097	188,676
Net Earned Contribution (Premium)	765,036	806,057	908,064	665,250	537,963	356,951	310,854	232,115	203,077	187,005
Income from Investments and Other Income	269,068	222,789	130,203	136,988	65,566	33,975	9,251	23,286	16,049	12,934
Net Claims Incurred	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)	(70,583)	(69,630)	(51,374)
Net Commission Incurred	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)	(20,054)	(18,074)	(22,089)
Expenses	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)	(89,481)	(70,603)	(65,658)
Increase in Family Takaful (Long-Term Insurance) Fund	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)	(75,283)	(60,820)	(60,818)
Profit/(Loss) Before Taxation	50,592	35,691	18,064	–	(6,945)	–	–	–	–	–
Income Tax Expenses	(760)	–	–	–	–	–	–	–	–	–
Net Profit/(Loss) for the Year	49,832	35,691	18,064	–	(6,945)	–	–	–	–	–
Basic Earnings/(Loss) per Share (Rs.)	0.10	0.07	0.04	–	–	–	–	–	–	–

Ten Year Summary

Amāna Takaful Life PLC/Long-Term (Family Takaful) Insurance Business

Statement of Financial Position as at	31.12.2017 Rs. '000	31.12.2016 Rs. '000	31.12.2015 Rs. '000	31.12.2014 Rs. '000	31.12.2013 Rs. '000	31.12.2012 Rs. '000	31.12.2011 Rs. '000	31.12.2010 Rs. '000	31.12.2009 Rs. '000	31.12.2008 Rs. '000
Assets										
Financial Assets	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486	424,414	–	–
Investments	–	–	–	43,683	71,908	73,463	161,666	50,750	327,066	273,439
Financial Assets – Unit Linked	1,526,679	1,473,332	1,092,154	637,572	353,566	127,335	91,882	–	–	–
Intangible Assets	22,250	23,549	18,408	–	–	–	–	–	21,977	23,744
Property, Plant & Equipment	21,165	17,467	14,932	–	–	–	–	–	1,744	4,734
Other Assets	191,588	102,661	142,504	64,612	37,992	43,936	27,420	10,913	18,400	11,951
Cash and Bank Balances – Unit Linked	7,370	72,193	46,639	95,837	36,434	14,512	6,187	–	–	–
Total Assets	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868
Liabilities										
Family Takaful Fund Balance (Insurance Provision – Long-Term)	580,710	559,914	574,711	551,211	550,220	577,899	494,321	413,141	335,186	274,364
Family Takaful Fund (Insurance Provision – Long-Term) – Unit Linked	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364	–	–	–
Other Liabilities	78,149	69,708	82,414	129,678	66,636	79,171	23,251	72,936	34,001	39,504
Other Liabilities – Unit Linked	51,845	50,316	39,437	20,116	9,042	3,485	47,705	–	–	–
Total Liabilities	2,235,840	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	–	–	–	–	–	–	–
Other Reserves	(1,545)	(2,669)	2,169	–	–	–	–	–	–	–
Revenue Reserves	75,333	26,186	13,424	–	–	–	–	–	–	–
Total Equity	573,788	523,517	515,594	–	–	–	–	–	–	–
Total Equity and Liabilities	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641	486,077	369,187	313,868

Geographic Locations

Head Office

660-1/1, Galle Road,
Colombo 03
011 750 1000

Akkaraipattu

77, Main Street,
Akkaraipattu
067 750 1100

Akurana

207/B, Matala Road,
Akurana
081 750 1150

Ambalantota

109, Shamila Building,
Tangalle Road,
Ambalantota
047 750 1130

Anuradhapura

81, Bank Site,
Anuradhapura
025 750 1103

Batticaloa

32, Bar Street,
Batticaloa
065 750 1100

Dehiwala

142, Galle Road,
Dehiwala
011 750 1275

Galle

41, Sri Devamittha Mawatha,
China Garden,
Galle
091 750 1128

Gampola

134/A, Kandy Road,
Gampola
081 750 1104

Hambantota

104, Tissa Road,
Hambantota
047 750 1107

Jaffna

249/1, 1st Floor,
Power House Road,
Jaffna
021 750 1100

Kaduruwela

379A, Main Street,
Kaduruwela
027 750 1120

Kalmunai

32, Mallika Building,
Main Street,
Kalmunai.
067 750 1116

Kalutara

161, Main Street,
Kalutara South
034 750 1132

Kandy

111-1/1, Kotugodella Street,
Kandy
081 750 1100

Kattankudy

287, Main Street,
Kattankudy
065 750 1118

Kinniya

124, Main Street,
Kinniya
026 750 1115

Kurunegala

7, South Circular Road,
Kurunegala
037 750 1110

Mannar

Pallimunai,
Mannar

Matala

510, Main Street,
Matala
066 750 1101

Matara

36/1,
St. Thomas Mawatha,
Matara
041 750 1133

Mawanella

207, New Kandy Road,
Mawanella
035 750 1107

Mutur

115, Main Street,
Mutur
026 750 1150

Negombo

121 1/1, St. Joseph's Street,
Negombo
031 750 1121

Nugegoda

331A, High Level Road,
Nugegoda
011 750 1290

Pettah

51-53, 1st Floor,
Bankshall Street,
Colombo 11
011 750 1300

Pilimathalawa

193/02, Colombo Road,
Pilimathalawa

Puttalam

128, Mannar Road,
Puttalam
032 750 1124

Ratnapura

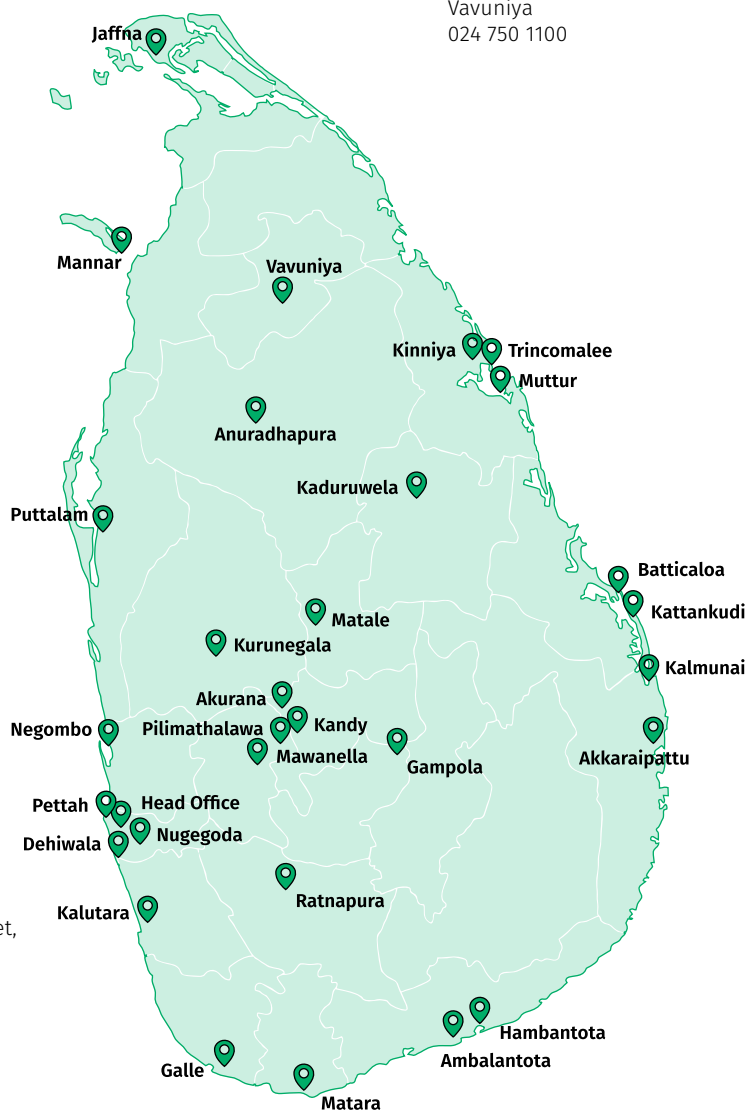
310, 1/1, Main Road,
Kudugalwatta,
Ratnapura
045 750 1100

Trincomalee

71, Thirugnanasambanthar
Street,
Trincomalee
026 750 1100

Vavuniya

9/80, 1st Cross Street,
Vavuniya
024 750 1100



Glossary

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the Balance Sheet date but have not yet been reported to the insurer.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

Ijara – (Leasing)

A contract under which, the Bank buys and leases out equipment required by its client for a rental fee. The duration of the lease and rental fees are agreed in advance. Ownership of the equipment remains with the Bank and only the usufruct is transferred to the client. The client is gifted the item at the end of the lease period based on a separate understanding taken by the Bank to gift the asset subject to certain conditions.

Insurance Provision – Family Takaful (Long-Term)

The fund or funds to be maintained by an insurer in respect of its Long-Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the reinsurer.

Risk-Based Capital

A “Risk Based” approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shariah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the Holy Prophet Muhammad – Peace be upon him).

Shariah Advisory Council (SAC)

This comprising Shariah Scholars or/and well versed personnel in Sharah, which ensures Shariah compliance in the operations of the company. The SAC advises the company on all Shariah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on long-term insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Surrender

The act of canceling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means “guaranteeing each other”. It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the Balance Sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

Notice of Meeting

NOTICE IS HEREBY GIVEN that the 2nd Annual General Meeting of Amāna Takaful Life PLC will be held on 8th May 2018 at 10.15am at the Committee Room B, Bandaranaike Memorial International Conference Hall (BMICH), Bauddhaloka Mawatha, Colombo 07, for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2017 and the Report of the Auditors thereon.
2. Appointment of Directors in terms of Article 24 (2) of the Article of Association of the Company.
- a. Appointment of M.R.M. Nayeem as a Director of the Company being eligible, offers himself for re-election.
3. Re-election of Directors by rotation in terms of Article 24 (7) of the Articles of Association of the Company
 - a. To re-elect R. Gopinath as a Director of the Company, who retires as per Article 24(7) of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
 - b. To re-elect M.F. Ghaffoor as a Director of the Company, who retires as per Article 24(7) of the Articles of Association of the Company, and being eligible, offers himself for re-election as a Director.
4. Appointment of Directors in terms of Section 211 of the Companies Act No. 07 of 2007
- Appointment of Dr. Ifthikarudeen Ahamed Ismail as a Director, and the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED: To appoint Dr. Ifthikarudeen Ahamed Ismail who is 80 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dr. Ifthikarudeen Ahamed Ismail.

- Appointment of M.H.M. Rafiq as a Director, and the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED: To appoint M.H.M. Rafiq who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in section 210 of the Companies Act No. 07 of 2007 shall not apply to the said M.H.M. Rafiq.

- Appointment of Dato' Mohd Fadzli Yusof as a Director, and the following resolution to be passed for this purpose, if thought fit.

IT IS HEREBY RESOLVED: To appoint Dato' Mohd Fadzli Yusof who is 73 years of age as a Director in terms of Section 211 of the Companies Act No. 07 of 2007 and it is specifically declared that the age limit of 70 years referred to, in Section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Dato' Mohd Fadzli Yusof.

5. Appointment of Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
AMĀNA TAKAFUL LIFE PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.

Secretaries

5th April 2018

Notes:

1. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
2. A Form of proxy is enclosed for this purpose.
3. The instrument appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road, Colombo 03, not less than forty eight hours prior to the time appointed for holding the meeting.

Form of Proxy

I/We the undersigned

bearing NIC No., of

being a member/members of Amāna Takaful Life PLC, hereby appoint

..... of

Bearing NIC No. or failing him,

M.F. Gaffoor	of Colombo or failing him
Dato' Mohd Fadzli Yusof	of Malaysia or failing him
A.S. Kassim	of Colombo or failing him
M.H.M. Rafiq	of Colombo or failing him
Dr. I.A. Ismail	of Colombo or failing him
R. Gopinath	of India or failing him
M.R.M. Nayeem	of Colombo

as my/our proxy to represent me/us and to vote for me/us on my/our behalf at the Annual General Meeting to be held on 8th May 2018 at 10.15am and at any adjournment thereof and at every poll which may be taken in consequence thereof.

As witness my/our hands this day of 2018

.....
Signature

Instructions as to Completion

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the Form of Proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the Form of Proxy.
3. The duly completed Form of Proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road, Colombo 03, not later than 48 hours prior to the time appointed for the holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed Form of Proxy and must be deposited at the Registered Office of the Company.

Corporate Information

Name of the Company

Amāna Takaful Life PLC

Legal Status

Public Quoted Company with limited liability incorporated in Sri Lanka on 10th July 2014.

Company Registration Number

PB 5202 PQ

Tax Payer Identification Number (TIN)

139052021

Stock Exchange Listing

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 18th August 2016. Stock Exchange Code for Amāna Takaful Life PLC shares is "ATLL".

Directors

Tyeab Akbarally – Chairman
(Resigned w.e.f. 28th September 2017)
Dato' Mohd Fadzli Yusof – Acting Chairman
M.H.M. Rafiq
Dr. I.A. Ismail
R. Gopinath
M. Fazal Ghaffoor
Ammar Shafik Kassim
M.R.M. Nayeem (Appointed w.e.f. 2nd January 2018)

Registered Office

No. 660 – 1/1, Galle Road, Colombo 03,
Sri Lanka.

Auditors

Ernst & Young Chartered Accountants

Secretaries

Managers & Secretaries (Pvt) Ltd.

Reinsurance Panel

Scor Re
Hannover Re

Consultant Actuaries – Long-Term Insurance

Actuarial Partners Consulting Sdn Bhd,
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur,
Malaysia

Shari'ah Advisory Council

Mufti M.I.M. Rizwe – Chairman
Ash-Sheikh Murshid Mulaffar – Secretary

Chief Executive Officer

Gehan Shivantha Rajapakse

Principal Bankers

Amāna Bank PLC/Pan Asia Bank/NDB Bank/Bank of Ceylon/
Commercial Bank/Sampath Bank/HNB/Nations Trust Bank/
Deutsche Bank



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Amāna Takaful Life PLC
660-1/1, Galle Road, Colombo 03, Sri Lanka.

www.takaful.lk